

Taiwan PCB/Substrates

Still at the early innings of a multi-year upcycle

Equities

Global
Technology

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Tailwinds for substrates to strengthen further

We lift estimates for all three substrate makers to factor in accelerated growth from capacity expansion and stronger than expected pricing amid industry undersupply dynamic with meaningful uplift in margins; and raise PTs to factor in more margin upside and earnings power expansion. Substrates stocks have rallied on accelerated AI demand that are driving pricing and margins to move up, but has taken a breather post Q1 results and likely factored in concerns on oversupply from capacity expansions. We note that most of the major substrate companies are looking to expand capacity by only 20-50% in the coming years, suggesting further upside risk to pricing has yet to be priced in. We believe there's still more upside to come in a structurally different cycle driven by AI which we anticipate much more favourable pricing among imbalance supply/demand and valuation should drift higher as margins/earnings start to manifest. We lift our PTs for Unimicron/Kinsus/NYPCB by 94%/70%/52% on earnings upward revisions and moving from a P/BV-based approach to a P/E-based methodology, reflecting improving earnings visibility and higher ROE that are expected to be stronger for longer.

Unimicron (Buy, lift PT to NT\$1200): We continue to like Unimicron as the clear technology leader as key suppliers across NVDA GPU and major ASIC platforms. We now forecast '26/'27/'28 sales to grow 37%/38%/25% YoY (up 4%/13%/13% from prior sales estimates) with momentum to accelerate from H226E as a number of AI GPU/ASIC project start to ramp with potential upside from AI CPUs and general server. We anticipate high UTR and pricing uplifts will lead to 30-35% GM for ABF in H226 and further improve to 35-40% level in 2027E. This will lead to 2026/2027/2028E GM of 21%/29%/32%, up from our prior forecasts of 20%/25%/26%. HDI margins should gradually tick up on improving yield rates; while BT margins likely remain below corporate average as the company adjust its production lines.

Kinsus (Buy, lift PT to NT\$680): We reiterate Buy and see rising appeal on better growth outlook from AI related projects, notably in CPUs. We now forecast '26/'27/'28 sales to grow 31%/37%/31% YoY (up 4%/19%/30% from prior sales estimates) as we anticipate stronger growth from pricing uplifts and ABF capacity additions of +22%/+20% in '26/'27E (was +11%/+10% in '26/'27E), which will remain fully loaded as it gains share in NVDA CPU substrate while ramping ASICs and general server CPU substrate. We also noted it is looking to solidify customer relationship through strategic investments, which could potentially serve as the next catalyst.

NYP CB (Neutral, lift PT to NT\$875): The company enjoys stronger pricing power given more orders based on spot prices that allows it to enjoy the full benefit of price hikes sooner than peers. Nonetheless, we anticipate limited ABF capacity additions until 2028, which could lead to slower-than-peers volume growth despite favourable pricing. We now forecast '26/'27/'28 sales to grow 40%/44%/26% YoY (up 6%/18%/39% from prior sales estimates) with GM moving toward 20%/26%/29% on loaded capacity and favourable pricing/sourcing, up from our prior forecasts of 18%/24%/24%.

Key events/development to monitor

We highlight a number of risk factors from here: 1) NVDA Rubin launch timing and demand, where Unimicron/Kinsus are exposed; 2) further material price hikes could accelerate substrate pricing uplifts; 3) t-glass expansion progress required to support volume growth; 4) Major CSPs AI capital spending acceleration could lead to intensified shortage; 5) Business visibility and pricing strategy may swing on LTA terms and/or strategic partnership (such as private placement).

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Could ABF drive the next phase of growth for Unimicron?**

Yes. Among Taiwanese suppliers, we believe Unimicron is best positioned to capitalise on rapid AI deployment based on its comprehensive offerings across GPU, CPU and ASIC AI servers. We expect Unimicron to gain share in Rubin GPUs, and will continue to benefit from growing AI server TAM as a key supplier for several US cloud service providers' AI ASIC substrates. We flag other drivers including size increases and content gains for general servers and switch when migrating to future generations. We are positive on the outlook and see higher utilization rate, more substrate pricing uplifts, improving yield rate could drive margin expansion in 2026E/2027E/2028E.

Q: Will the non-ABF substrate business grow?

Moderately with upside potential from HDI ramp, in our view. The company has not aggressively expanded its RPCB (Rigid PCB) capacity, but chose to optimise HDI production as it shifts focus from smartphones to AI servers. We believe Unimicron was the dominant high-density interconnect (HDI) supplier of Hopper OAM boards although it has lost some share on the Blackwell to Victory Giant. That being said, we are starting to see yield rate improvement for its Taiwan HDI fab, and anticipate volume for this fab would start to ramp from Q226, driving more growth in 2026E/2027E.

UBSVIEW

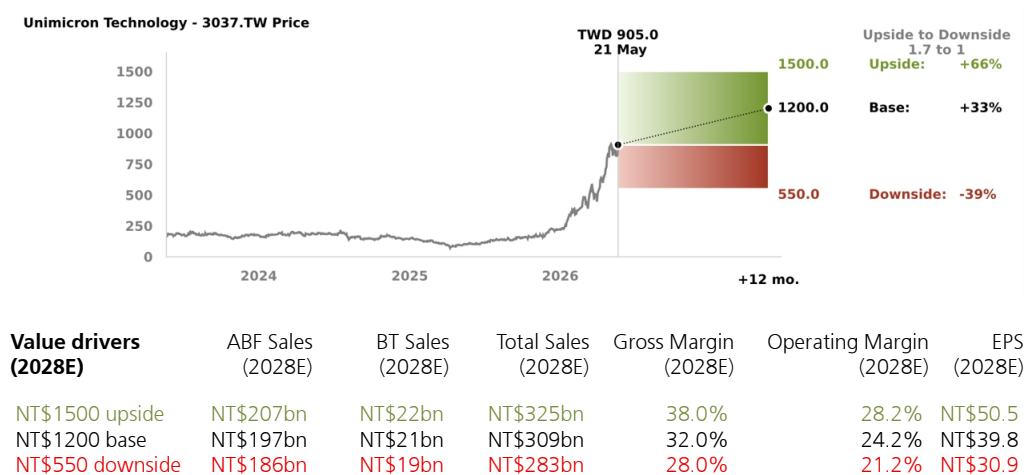
We maintain a Buy rating as we continue to expect Unimicron to deliver above-industry sales growth in 2025-29E, as we view it well positioned for structural tailwinds from AI servers, general servers and CPO deployment. We believe it is set for strong growth as a major substrate supplier for Nvidia GPU and multiple ASIC substrates, its HDI business is finally gaining momentum, and also it is involved in a number of US CSP ASIC projects. We model sales to grow 37%/38%/25% in 2026/2027/2028E, led by ABF substrates.

EVIDENCE

A number of positive drivers for ABF substrate growth including: 1) AI servers: substantial volume growth and content gains in new platforms, eg at least 50-100% increase in area for ABF substrate consumption from Hopper to Blackwell, and up another 50-100% from Blackwell to Rubin; 2) general servers: body size increase and higher layer count to drive 20-50% content gains when migrating to new platforms; 3) networking/switch 1.6T/800G substrate capacity consumption doubling from the 800G/400G migrations.

WHAT'S PRICED IN?

Unimicron is trading at 30x/19x 2027/2028E P/E, compared to Taiwan hardware/components peers trading average at 33x/26x. We believe it has priced in the substrate price increases to date driven by mostly material price hikes and some pricing premium; yet considering the industry is entering a structurally different upcycle from AI server fundamentals with more margin upside on the way, we believe the stock has not fully factored in the stronger pricing bargaining power supported by AI-driven demand upside and stronger-than-expected margin expansion.

UPSIDE/DOWNSIDE SPECTRUM

Source: UBS estimates

COMPANY DESCRIPTION

Unimicron was founded in 1990 and merged with UMC and Bestmult in 2001. It manufactures printed circuit boards, including high-density interconnect (HDI), multi-layer PCB, rigid flex PCB, and flexible printed circuits and substrates used in major components for a wide range of applications including computing, communication, consumer electronic, automotive products, etc.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Can ABF substrate enter a new growth phase?**

Yes. Kinsus is expanding ABF capacity, and we believe it is gaining share at NVDA AI server platforms, notably in the CPU substrates that could reach 5-10% of total substrates sales in 2026E. We believe t-glass shortages will last till at least 2027E, suggesting more pricing uplifts to come for ABF substrates. Among a more conservative macro outlook considering tariff and geopolitical dynamics, we think the sales of other ABF substrate applications, aside from general servers, such as gaming and PC could remain relatively muted.

Q: Will the BT substrate business remain a drag?

Yes, but it is improving given the strong memory pull-ins on top of tightening material supply has been driving up BT substrate pricing. Just like for Taiwanese peers, we are not optimistic about Kinsus' BT substrate business growth, as these applications' end-demand growth (including for handsets, memory, automotive, etc) is likely to remain relatively mild. Tightening material supply prioritizing high-end ABF substrates however is triggering some improvement in pricing which is supplementing slow unit growth to also improve margins.

UBSVIEW

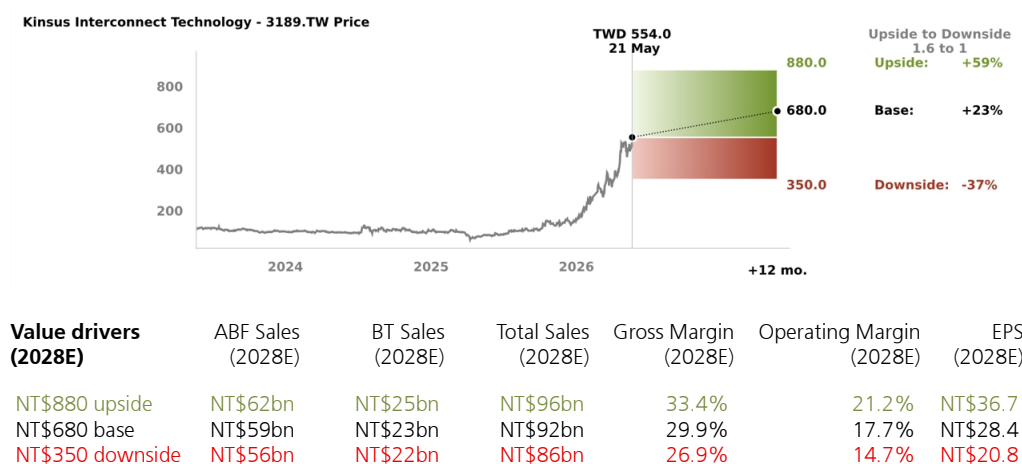
We maintain our Buy rating on Kinsus considering strong growth from share gains at NVDA CPU/ASIC substrates, capacity expansion, and ability to pass on cost pressures. We forecast Kinsus to deliver 31%/37%/31% sales growth in 2026/2027/2028 factoring in stronger momentum from new orders and better-than-expected pricing. NVDA VR will start to ramp in Q3'26, and expect this new project could contribute 5-10% of total revenue in 2026E with another 2-3% contribution from ASIC projects. All in, we forecast AI-related ABF revenue contribution could reach 10-15% in 2026.

EVIDENCE

We expect ABF substrate pricing uplifts and rapid volume growth & spec upgrades for AI servers, along with content gains and growing demand for general servers will drive double digit revenue growth and gross margins. BT substrate is seeing evidence of rising prices & firming margins with vendors passing on higher costs as customers work to secure supply for memory; but consumer related applications growth remain muted.

WHAT'S PRICED IN?

The stock is trading at 26x/17x 2027/2028E P/E, compared to Taiwan hardware/components peers trading average at 33x/26x. We believe its YTD performance has priced in potential share gains in NVDA CPU as well as other ASIC projects; yet believe the multiple has not fully priced in its margin expansion potential, which should act as a reflection point and believe the stock deserves a re-rating as its business structure starts to improve.

UPSIDE/DOWNSIDE SPECTRUM

Source: UBS estimates

COMPANY DESCRIPTION

Kinsus is a Taiwan-based company principally engaged in the manufacturing and distribution of substrates and printed circuit boards (PCBs). The company's product portfolio consists of Ajinomoto build-up film (ABF) and bismaleimide-triazine (BT) substrates, as well as conventional PCB (Piotek). It is also engaged in the contact lens business through its stake in Pegavision (6491.TW). Kinsus distributes its products in Taiwan, mainland China, the US and Europe, among others.

UBS Research THESIS MAP a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Could ABF substrates enter a new growth phase?**

Yes. We believe NYPCB's ABF substrate business growth may benefit from: 1) 800G/1.6Tb+ switches ramping in from 2026E and beyond with potential CPO deployments; 2) spec upgrades and rapid volume growth for both GPU and ASIC AI servers, with potential upside coming from discrete CPUs. We also note that the company enjoys stronger pricing power given more orders based on spot prices that allows it to enjoy the full benefit of price hikes sooner than peers

Q: Could BT substrate/PCB business remain a drag?

We are seeing some improvement as material supply constraints and rush orders have lifted pricing to return these businesses toward profitability. We still are not as optimistic about its BT substrate and PCB business growth as the end-demand growth of these applications (handset, automotive, etc) remains relatively muted despite the strength we've seen in memory.

UBSVIEW

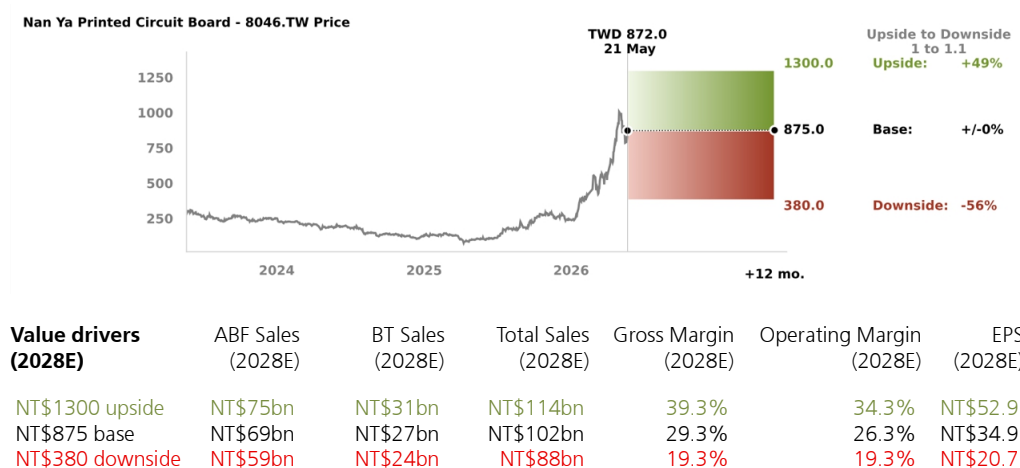
We believe NYPCB is set up to enjoy strong sales growth from stronger pricing, 800G/1.6TB transition while also gaining traction in ASIC projects; and should enjoy better pricing on strong sourcing capabilities from its mother/sister group with better selling price given more orders based on spot prices. We revise up our 2026E/2027E/2028E earnings by 23%/35%/85% to NT\$12.72/NT\$24.37/NT\$34.91 and lift our PT from NT\$575 to NT\$875, based on 25.1x 2028E P/E. That being said, we maintain a Neutral rating as we keep balances on full valuation and anticipate growth to be capped as its capacity expansion lags peers.

EVIDENCE

Based on our industry analysis, we forecast a number of ABF substrate upgrades, including: 1) 800G switches consume an additional 100-120% capacity per unit compared to 400G; 2) 1.6T capacity consumption is almost double versus 800G; 3) substantial substrate size increases and content gains for both AI and general servers when migrating to new platforms. On the flip side, we expect limited content increases for BT substrates and PCBs as: 1) volume lacks visibility—they are subject to more consumer electronics-centric demand with short product lives; 2) there are no clear signs of size or layer count increases for new products.

WHAT'S PRICED IN?

NYPCB is trading at 26x/17x 2027/2028E P/E, compared to Taiwan hardware/components peers trading average at 33x/26x. Expectations can swing sharply for the company with the business cycle. The stock has rallied, pricing in stronger growth and margins upside risks from AI and Switch projects as market is expecting margins to return to 2021-22 profitability level. That being said, the stock is now trading below industry peers average factoring in downside risk from business correction as its business growth is susceptible to demand and price fluctuations as a tier two supplier relatively to Ibiden and Unimicron.

UPSIDE/DOWNSIDE SPECTRUM

Source: UBS estimates

COMPANY DESCRIPTION

NYPCB, as a technology subsidiary of the Formosa Plastics Group (67% ownership, as of end of 2023), has stable access to key materials such as CCL, copper foil, epoxy resin and glass fabric. NYPCB fabricates products including ABF/BT substrates and conventional printed circuit boards.

Substrate in full-fledged undersupply

The substrate industry has entered a period of acute shortages driven by: 1) strong ABF demand driven by AI requirement for higher layer count and larger substrate sizes, which is also lifting the demand for switch that also requires substrates; 2) a robust conventional server refresh cycle that are calling for substantial needs of CPUs; 3) capacity additions from key components such as t-glass are much slower than demand expansion.

Low-CTE supply constraints to carry on for longer

AI demand acceleration is driving material upgrades that are essential for high-speed, high frequency, and high reliability computing performance, where T-glass comes in to act as a critical material to help hold up multi-layer substrates sharp without warping while offering low dielectric properties and low thermal expansion, etc.

Nittobo (3110.T, 70%+ share in global T-glass market):

- The company has been facing low CTE glass capacity shortages, whose output is 1) mostly allocated to Resonac that sells mainly to Ibiden and Unimicron for large body-size FCBGA substrates (UBSe: Resonac has 60-70% share in ABF substrates); 2) smaller allocation to MGC that serves high-end FCCSP and memory substrate applications sold by chipset and memory makers.
- In August 2025, BoD approved ¥15 billion investments to triple its capacity at its Fukushima plant, with new production slated to start in FQ426 (ending Mar '27)
- The company currently has around 500K (m2) low CTE glass fabric capacity. Under its medium-term management plan, Nittobo is investing \$530M+ total in T-glass over four years, looking to triple t-glass capacity by 2028 vs 2025 with Taiwan capacity potentially doubling by Q128.
- **Baotek Industrial Materials (5340.TW)** is a subsidiary of Nittobo Group (47% holding) that specializes in high-end fiberglass fabrics, including T-glass, which technology support from its mother group. The company noted high-end products has exceeded 50% of total sales in H225 and anticipates t-glass volume will start to ramp from Q226.

Taiwan Glass (1802.TW)

- Taiwan Glass is the 2nd largest high-end glass clothes supplier. It currently has roughly 100K (m2) low CTE glass fabric capacity in Taiwan that are fully loaded.
- The company has previously noted that is low dk 1/dk2 and low CTE products have all received customer qualifications and is looking to expand its high-end glass clothes supply (not limited to low CTE, e.g. t-glass, but also low DK) by 40-50% by 2027 with good order visibility.

Nan Ya Plastics (1303.TW)

- Our industry checks suggest Nan Ya Plastics qualified for their low CTE products in late 2025, but their progress in winning AI projects remain relatively slow. Glass clothes currently only contributes 2-3% of Nan Ya Plastic total sales (or 5-6% of its electronic materials sales, which accounts for roughly 50% of total sales).
- Nan Ya Plastics is partnering with Nittobo to weave 20% of the latter's glass clothes supply by 2027. Beyond the collaboration on production, Nittobo will also provide stable supply on key raw materials for low-dielectric-constant glass yarn (NRE).

Other companies include Taishan Glass with 40-50K (m2) low CTE glass fabric capacity in China, who is looking to double that capacity by end of 2026; and Fulltech (1815.TW) who we believe have small volume production in Taiwan and also looking to expand in Thailand. The supply chain have been looking for alternatives, our studies suggest Taiwan Glass is making more progress on projects win, while Nan Ya Plastics has also received qualification with a number of customers. That being said, the yield rate and feedback is still climbing the learning curve where the actual supporting volume delivered to customers remains insufficient. We expect supply will remain constrained through 2026/2027, and even into 2028.

Preparing for more structural demand growth

We reiterated our view ([link](#)) that this cycle is structurally different than the prior upcycle during 2019-2022, which were primarily driven by the sudden surge in PC demand where a lot of capacity expansion was then set in motion and substrate makers had come to agreement with their customers to facilitate capacity expansion. Unfortunately, consumer demand fell short of expectations coming out of the pandemic that led to a sharp decline in substrate market pricing amid oversupply in 2023-2024. The substrate market troughed in early 2024 and slowly recovered, supported by general computing demand and moderate PC recovery, later followed by AI taking off with strength continuing till today. We believe AI is driving a different upcycle for substrate makers that will be stronger for longer as not only unit growth but also requirement for larger substrate size and higher layer count will serve as strong demand tailwind.

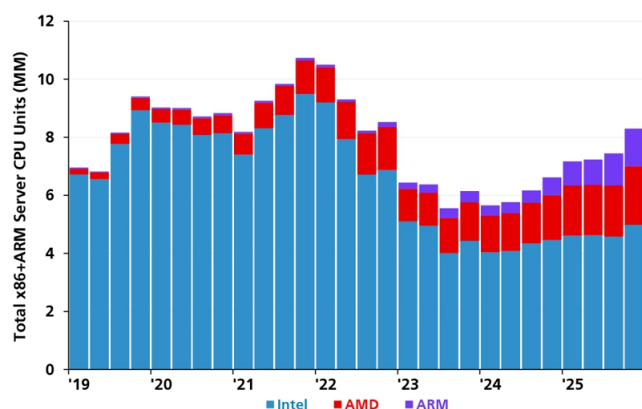
GPU/ASICs has been in the spotlight, driving AI supply chain momentum. UBS highlighted the major hyperscalers spending and monetization trends provide updated signals that AI momentum should continue - where now estimates for the top 5 hyperscalers capex in 2026-27E will grow by +61%/+14% YoY to US\$719/819bn ([link](#)). UBS analyst Tim Arcuri projects NVDA shipment of 5.7MM GPUs in C2025 and a step up to ~9.0MM/9.9MM/9.5MM in C2026/2027/2028 (+57%/+10%/-4% YoY). Besides the substantial growth witnessed in GPU/ASIC volumes and breadth, Agentic AI is driving a step-function increase in the importance of CPUs to perform workload orchestration. UBS noted ([Link](#)) that agentic deployments generally require a ~3-5x increase in CPU cores per user and per GPU/XPU, and anticipate the server CPU TAM could grow ~5x through C2030E from ~\$30B in C2025 to ~\$170B in C2030E.

Figure 1: Capex revised up for hyperscalers reporting to date

	QoQ, YoY Trends					Annual Trends				YoY Growth		
	1Q26E	4Q25	QoQ	1Q25	YoY	2024	2025	2026E	2027E	25 YoY	26 YoY	27 YoY
Internet Co Capex (US\$mn)												
Meta	\$18,997	\$21,383	-11.2%	\$12,941	46.8%	\$37,256	\$69,691	\$123,060	\$137,143	87.1%	76.6%	11.4%
Google	\$35,674	\$27,851	28.1%	\$17,197	107.4%	\$52,535	\$91,447	\$176,350	\$202,976	74.1%	92.8%	15.1%
Amazon	\$44,203	\$39,522	11.8%	\$25,019	76.7%	\$82,999	\$131,819	\$199,559	\$202,085	58.8%	51.4%	1.3%
Microsoft	\$31,876	\$37,500	-15.0%	\$21,400	49.0%	\$75,600	\$118,000	\$158,641	\$200,145	56.1%	34.4%	26.2%
Oracle	\$18,635	\$12,033	54.9%	\$5,862	217.9%	\$10,745	\$35,477	\$61,857	\$76,244	230.2%	74.4%	23.3%
Top 5 Capex	\$149,385	\$138,289	8.0%	\$82,419	81.3%	\$259,135	\$446,434	\$719,468	\$818,592	72.3%	61.2%	13.8%
Internet Capex/Sales (%)												
Meta	33.7%	35.7%	-2.0%	30.6%	3.2%	22.6%	34.7%	48.3%	45.0%	12.0%	13.7%	-3.3%
Google	32.5%	24.5%	8.0%	16.1%	13.4%	15.0%	22.7%	36.3%	36.9%	7.7%	13.6%	0.6%
Amazon	24.4%	18.5%	5.8%	16.1%	8.3%	13.0%	18.4%	24.4%	21.4%	5.4%	6.0%	-3.0%
Microsoft	38.5%	46.1%	-7.7%	30.5%	7.9%	28.9%	38.6%	44.7%	48.5%	9.8%	6.1%	3.7%
Oracle	108.4%	74.9%	33.5%	41.5%	66.9%	19.6%	58.1%	81.9%	74.4%	38.6%	23.8%	-7.5%
Top 5 Capex/Sales	33.4%	28.5%	4.8%	22.1%	11.2%	17.6%	26.5%	36.1%	35.4%	8.8%	9.7%	-0.8%
Internet Co Sales (US\$mn)												
Meta	\$56,311	\$59,893	-6.0%	\$42,314	33.1%	\$164,500	\$200,965	\$254,527	\$304,762	22.2%	26.7%	19.7%
Google	\$109,896	\$113,828	-3.5%	\$90,234	21.8%	\$350,018	\$402,836	\$486,471	\$550,538	15.1%	20.8%	13.2%
Amazon	\$181,519	\$213,386	-14.9%	\$155,667	16.6%	\$637,959	\$716,924	\$819,498	\$944,489	12.4%	14.3%	15.3%
Microsoft	\$82,886	\$81,272	2.0%	\$70,066	18.3%	\$261,803	\$305,451	\$354,568	\$412,761	16.7%	16.1%	16.4%
Oracle	\$17,190	\$16,058	7.0%	\$14,130	21.7%	\$54,933	\$61,017	\$75,515	\$102,425	11.1%	23.8%	35.6%
Top 5 Internet sales	\$447,802	\$484,437	-7.6%	\$372,411	20.2%	\$1,469,213	\$1,687,193	\$1,990,579	\$2,314,974	14.8%	18.0%	16.3%
Cloud Sales (US\$mn)												
Amazon Web Services	\$37,587	\$35,579	5.6%	\$29,267	28.4%	\$107,556	\$128,725	\$177,410	\$244,056	19.7%	37.8%	37.6%
Google Cloud	\$20,028	\$17,664	13.4%	\$12,260	63.4%	\$43,229	\$58,705	\$98,439	\$124,703	35.8%	67.7%	26.7%
Microsoft Azure	\$27,340	\$25,061	9.1%	\$19,390	41.0%	\$64,870	\$89,596	\$125,054	\$169,799	38.1%	39.6%	35.8%
Oracle (OCI)	\$4,744	\$3,949	20.1%	\$2,514	88.7%	\$7,917	\$12,606	\$25,268	\$51,204	59.2%	100.4%	102.6%
US Cloud division sales	\$89,699	\$82,252	9.1%	\$63,431	41.4%	\$223,572	\$289,632	\$426,170	\$589,762	29.5%	47.1%	38.4%

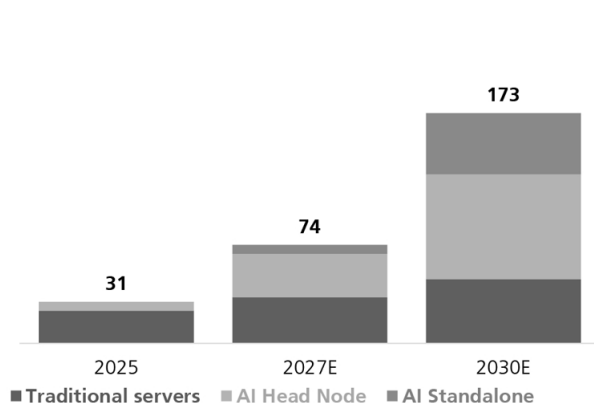
Source: UBS estimates

Figure 2: Historical server market - Intel, AMD and ARM Server CPU Units



Source: Mercury Research, UBSe

Figure 3: CPU Market To Reach ~\$170B By C2030E



Source: UBS estimates, Mercury Research

On top of the unit economies driven by GPU/ASICs and CPU demand, we continue to see content uplift in new platforms. From Nvidia's Hopper to Blackwell generation, we see substrate area consumption goes up by 115%, and another +70-85% uplift from Blackwell to Rubin, as substrate layer counts look to advance further with increasing computing dies and HBM stack counts. Besides Nvidia's AI GPU roadmap, we also anticipate continued advancement in ASICs that will require larger and more complex substrates. At the meantime, we are also seeing body size and high layer count been driving 20-50% content gains in general servers; while networking/switch1.6T/800G substrate capacity consumption are looking to double from the 800G/400G migrations. We believe larger packaging size and higher layer count will drive ABF substrate demand to outgrow end market unit growth.

Figure 4: Key component suppliers for the ASIC and GPU servers

Hardware	Google	Meta	Microsoft	Amazon	NVIDIA
ASIC Server	Celestica (TPU tray & L11), Hon Hai (CPU tray & L11, Inventec (CPU L6) NVIDIA	Quanta + Celestica	Hon Hai	Accton, Fabrinet L6 Wiwynn, Jabil L11 NVIDIA	N/A
GPU Server		NVIDIA, AMD	NVIDIA, AMD		NVIDIA
GPU Server Racks	Quanta, Hon Hai from VR	Hon Hai, Quanta	Hon Hai, Quanta	Quanta	Hon Hai, Quanta, Wistron, SMCi etc.
Switch/Networking	Celestica	Celestica, Nvidia, Cisco, Arista, Accton	Arista, Nvidia	Accton, Celestica	Wistron ODM Spectrum, Hon Hai Switch Tray
Substrate	Unimicron, Nanya PCB (late 26)	Unimicron	Unimicron	Unimicron, Semco	Ibiden, Unimicron
PCB	Victory, ISU Petasys, Shennan	Isu Petasys (Switch), Shennan	ISU Petasys (Switch), Avary (Small share)	Shengyi Elect., Avary (small share)	HDI: Victory, Unimicron. MLB: Wus, TTM, ISU, Avary
CCL	Panasonic, Shengyi, Elite Material	Elite Material	N/A	Elite Material, Shengyi Tech	Panasonic, Isola, Shengyi, Elite, Doosan
Heatspreader/Stiffener	GPU lid: Jentech, TPU stiffener: Jentech	GPU lid: Jentech	GPU lid: Jentech	GPU lid: Jentech, AWS lid/stiffener: Jentech	Lid/stiffener main: Jentech, legacy: I-Chiun
Liquid Cooling (ASIC)	Boyd, Cooler Master, AVC	AVC, Auras	AVC	AVC, Auras	N/A
Liquid cooling GPU	Cooler master, Vertiv, AVC	AVC, Auras, Delta (L2A)	AVC, Delta (L2A)	AVC, Auras, Delta (L2A)	AVC, Auras, Jentech, CoolerMaster
Power Supply Unit	Delta	Delta	Delta, Lite-On	Delta, Lite-On (T3/T4 rack)	Delta, Lite-On, Megmeet

Source: UBS

Figure 5: GPU/ASIC Spec and suppliers

Chipset	Platform	Generation	Components	Area sie (mm2)	ABF Substrate Layer count	Potential Suppliers
GPUs	NVIDIA	Ampere	ABF substrate	c.3000	12L	
		Hopper	ABF substrate OAM UBB	c.3200	12L 18L HDI 24L MLB	Ibiden (major), Unimicron, others Unimicron (major), Victory Giant, others WUS, ISU, TTM, others
		Blackwell	ABF substrate B200/B300 OAM B200/B300 UBB GB200/GB300 Bianca board GB200/GB300 Switch tray	c.6000	14L 20L HDI 18L/22L MLB 22L HDI 22L MLB	Ibiden (major), Unimicron, others Unimicron (major), Victory Giant, others WUS, ISU, TTM, others Victory Giant (major), Unimicron, Kinwong, others WUS (major), Victory Giant, Unimicron, Kinwong, others
		Rubin	ABF substrate VR200 Bianca board Switch tray Midplane	c.9000	18-20L 26L HDI 26L HDI, 32L MLB 44L MLB (22+22?)	Ibiden, Unimicron, others Victory Giant, WUS, Unimicron, others WUS, Victory Giant, Unimicron, ISU Kinwong, WUS, Shennan, Victory Giant
		Rubin Ultra	ABF substrate Compute board Switch tray Kyber Midplane LPU Board LPU Midplane	>10000?	TBD TBD 78L / 104L or higher MLB 20L HDI 52L MLB	Ibiden, Unimicron, others TBD TBD WUS, Victory Giant, Unimicron, Kinwong, others Unimicron, Avary, others WUS, Victory Giant, Kinwong, Founder Tech, TTM, ISU
		Feynman	ABF substrate			Ibiden, Unimicron, others
	AMD	Mi300	ABF substrate		12L	Ibiden, AT&S, Shinko, others
		Mi400	ABF substrate		14L	Ibiden, AT&S, Shinko, others
ASICs	AWS	Trainium 2	ABF substrate	c.6300	16L	Unimicron, SEMCO, others
		Trainium 3	ABF substrate OAM	c.6300	18-20L 22L HDI	Unimicron, SEMCO, Toppan, others Shengyi, ZDT
	Google	TPU v7	ABF substrate UBB	c.6800	16-24L 34L MLB	Unimicron, Toppan, Kinsus, NYPCB, SEMCO WUS, ISU, TTM, Victory Giant
		TPU v8t/v8i (SunFish/ZebraFish)	ABF substrate UBB Compute board Switch tray?	c.7000/c.5300	18L-24L+ 36-40L MLB? 24L HDI 32L MLB	Unimicron, Toppan, Kinsus, NYPCB, SEMCO WUS, ISU, TTM, Victory Giant WUS, TTM, Shennan WUS, TTM, Shennan

Source: UBS

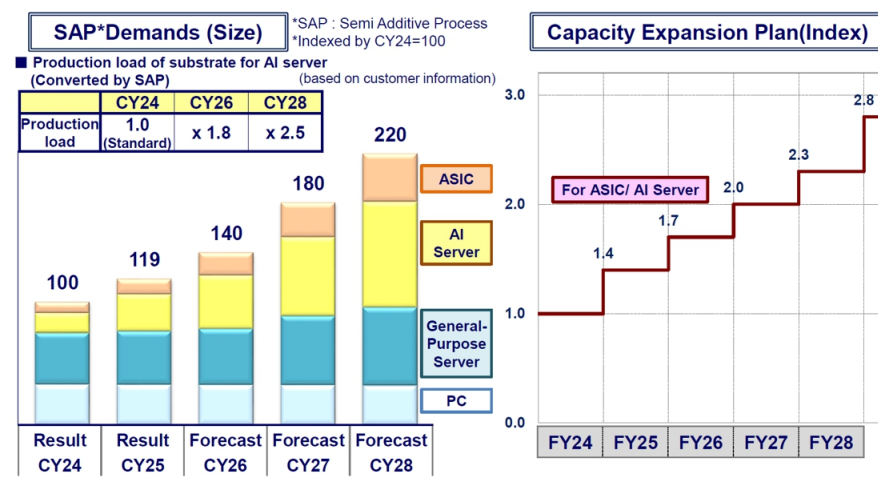
Capacity expansion plans backed by LTAs and potential private placement

Although more companies have been announcing their expansion plans, we continue to believe that this expansion would not alter the near-term supply shortage gap. Due to the long equipment lead time and time required to fully set up the proper infrastructure and ramp production yields, we expect any greenfield expansion would require at least 1.5 to 2 years in total to finish the entire process of building construction, equipment pull-in, test run and qualification.

Ibiden

- Ibiden will deploy JPY 500bn capex (FY26–28) to expand high-performance IC substrate capacity for AI/server applications, supported organically by operating cash flow and customer prepayments, with strong demand visibility from key hyperscale and semiconductor clients aligned to AI infrastructure buildout.
- Gama Plant (JPY 220bn capex budgeted) is dedicated to AI ASIC substrates, while Ono Plant (JPY 280bn capex budgeted) focuses on AI GPU substrates; with both commencing operation from FY27 and start mass production.
- The company also noted that SAP substrate demand is expected to grow 2.5x by CY28 from CY24, suggesting the manufacturing complexities continues to grow AI chipset substrates.

Figure 6: Ibiden's Demand Forecast and Capacity Expansion Plan of IC Package Substrates



Source: Ibiden

Unimicron

- Unimicron guides ~40% YoY ABF capacity expansion in 2026 (vs. YE25), with AI-related revenue mix expected to rise from ~40% to ~60%, supported by AI and high-performance computing demand.
- High-end ABF capacity expansion is focused on Guangfu and Yangmei, both currently operating at full utilization, with Guangfu Plant 1 Phase 3 ramping in 2H26 and ongoing debottlenecking at Yangmei Plant 1.
- High-end capacity is expected to increase by ~20% in 2026, with a similar ~20% expansion across other sites, reflecting a combination of incremental capacity additions and process optimization.
- Further expansion continues beyond 2026, with Guangfu Plant 2 scheduled to enter mass production in 2027 and Yangmei expansion extending through 2028, supporting continued growth in high-end ABF capacity.

Kinsus

- Kinsus is executing a multi-year ABF expansion plan (NT\$23.5bn over 2026–28), with capex primarily allocated to its Taiwan K6 plant, and 2026 annual capex revised to NT\$9.5bn (vs NT\$5.5bn in 2025).

- ABF capacity is expected to increase by ~25% (from ~40m to ~50m units/month), with K6A already fully loaded and K6B undergoing equipment installation, targeting mass production from early 2027.
- Kinsus remains optimistic on AI into 2027 as major CSPs continue increasing capex, while substrate supply remains tight through 2028, with material constraints easing only after Nittobo's 2027 ramp.

NYP CB

- At its AGM on May 14th, management noted it looks to kick off large-scale capacity expansion and capital investments will exceed historical level. NYP CB invested a total of NT\$44.5bn over 2020-2023 and based on its historical capacity expansion, we estimate a NT\$10bn capex investment would imply c.200-300ksq ft (or roughly 25-35mn units) of ABF substrate monthly capacity additions.
- Expansion is focused on high-end ABF substrates, with no expansion in BT substrates.
- New capacity unlikely to come online before 2028, with capacity remaining tight (utilization remains above 80%).
- Capacity mix at 80% Taiwan / 20% Kunshan; Kunshan is expected to see double-digit capacity expansion in 2026.

Figure 7: Major Substrate makers' capex and capacity expansion plan

	Capex Announcement	Capacity Plan
Ibiden	JPY 500bn (~US\$3.15bn) capex over FY26–28	AI ASIC/server capacity to unfold by 2.8x by FY29 vs. FY24 level
Unimicron	NT\$34bn (~US\$1.07bn) capex in CY26; NT\$9.2bn equipment purchase budgeted for CY27	ABF capacity +40% YoY in CY26 BT capacity 10-20% YoY in CY26
Kinsus	NT\$23.5bn (~US\$741mn) capex over CY26–CY28	ABF capacity +25% YoY in CY26
NYP CB	2026 AGM announced capex will exceed historical level	ABF capacity expansion resumed with production slated in 2028
SEMCO	Over KRW 2.0trn (~US\$1.5bn) capex in CY26, doubling YoY and includes KRW1.8trn (~US\$1.2bn) for ABF expansion in Vietnam	ABF capacity expansion in Vietnam (UBSe ABF capacity to expand 50% by CY28 from current level)

Source: Company data, UBS estimates

Pricing upside would not be capped by LTAs and capacity expansion

Some view the capacity announcements mentioned above as a negative signal for substrate industry. Nonetheless, we believe these announcements speaks to the fact that high-end ABF demand growth is expanding so fast that all players are looking to catch up on customer demand. Our prior section has talked about multiple secular drivers across GPU, ASICs, networking/switch, general servers, and agentic AI, etc. AI opportunities have risen beyond the industry's demand expectations for the next few years, where the capacity expansion in place were insufficient to meet customers forecasts.

We have started to see substrate makers lifting ABF and BT substrate pricing in H225, where the initial price increases are primarily to reflect higher material costs including T-glass, copper, CCL, etc; which has started to gradually reflect in the revenue numbers. Our studies suggest the entire supply chain are now even more eager to secure capacity thus the pricing negotiation frequency has increased not just from the suppliers end but also on the end customers side, who are willing to take on the premium on intensified supply bottleneck. In May 2026, Ajinomoto has informed IC substrate makers that it will lift ABF film prices by 30%, effective from Q326. The company holds 80%+ share in the ABF laminated film material, further escalating costs for IC substrate supply chain.

Similar to prior upcycle, long-term agreements (LTAs) for dedicated capacity are signed during this cycle. What is different from last time, we are seeing more prepayment upfront with pricing incentives to ramp production. In addition, the counter parties for LTAs are with major CSPs and chipset vendors who are dedicated to push through AI servers system upgrades and infrastructure buildouts. While none of the terms have been disclosed, we believe substrate makers have signed or are looking to sign LTAs or potential collaboration model to help reduce business risks. We believe Unimicron has multiple LTAs signed considering its technology leadership and serving as major supplier across handful of key projects for GPUs (NVDA) and ASICs (Google, AWS) where customers are looking to secure more volumes. Other suppliers are also looking into co-

investment model such as private placement with their customers to reduce risk from customers walking away from the LTAs without penalty while ensuring orders will help maintain a certain level of utilization.

We note that the LTAs in place do not lock in pricing, and we anticipate the price hikes in key materials will push up production costs and gradually pass through to customers. We expect ABF and BT substrate pricing would continue to rise until the end of the year, with more significant adjustments in the H226. We now forecast ABF substrate pricing would be up 15-20% YoY in 2026, and will further accelerate into 2027 as supply/ demand gap will likely widen.

Thoughts on technologies under development

1) Glass substrates

Compared to organic substrates, glass materials offer superior dimensional stability, thermal conductivity, and electrical properties. For starters, glass core substrates leverage TGV (Through Glass Via) technology for via formation that allows smaller via sizes and higher density interconnects relative to the mechanical drilling used for ABF substrates. In addition, traditional ABF substrates require additional warpage treatment during layer build-up processing where glass substrate's flat surface allows more precise lithography and multi-layer alignment.

Glass core substrates offer better performance and scalability for next-generation chipsets and packaging requirements that have been driven by applications and workloads requiring larger form factor packages, including high performance computing, data centers, AI, graphics, higher speed capabilities, etc. The core layer of ABF substrates, ie CCL, currently is dominated by Japanese supplier Resonac, which is actively researching other materials in case of potentially being replaced by glass manufacturers such as Corning, Schott, etc; while substrate makers are also exploring potential alternatives other than glass.

Figure 8: Next-gen glass core substrate overview

Substrate Type	Organic Substrate	Glass Core Substrate
Manufacturing Difficulty	Lower	Higher
Thermal Resistance	Weaker	Stronger
Power Consumption	Higher	Lower
Manufacturing Costs	Lower	Higher
Other properties	■ Leverage traditional PCB-like cores with woven glass laminates ■ Provides a low cost, easily manufacturable material set	■ Dimensional stability: improve feature scaling ■ High through-hole density: improve routing and signaling ■ Low loss: high speed signaling

Source: Company data, UBS

- **Timing and implications for Taiwanese PCB/substrate makers:** Unimicron noted that it is still closely working with its customers on glass materials studies and researching manufacturing processes based on glass properties. The company has been working on glass substrate engineering samples and qualification since 2025, but management expects volume production will not take place until 2027/28. Yield rate remains challenging as several issues remain to be resolved. During the glass drilling process, laser or chemical etching still face problems such as inconsistent hole shape and high surface roughness; and the risk of uneven filling may lead to insulation degradation and long-term failure. Ibiden's technology roadmap suggests Glass substrates would unlikely be widely adopted

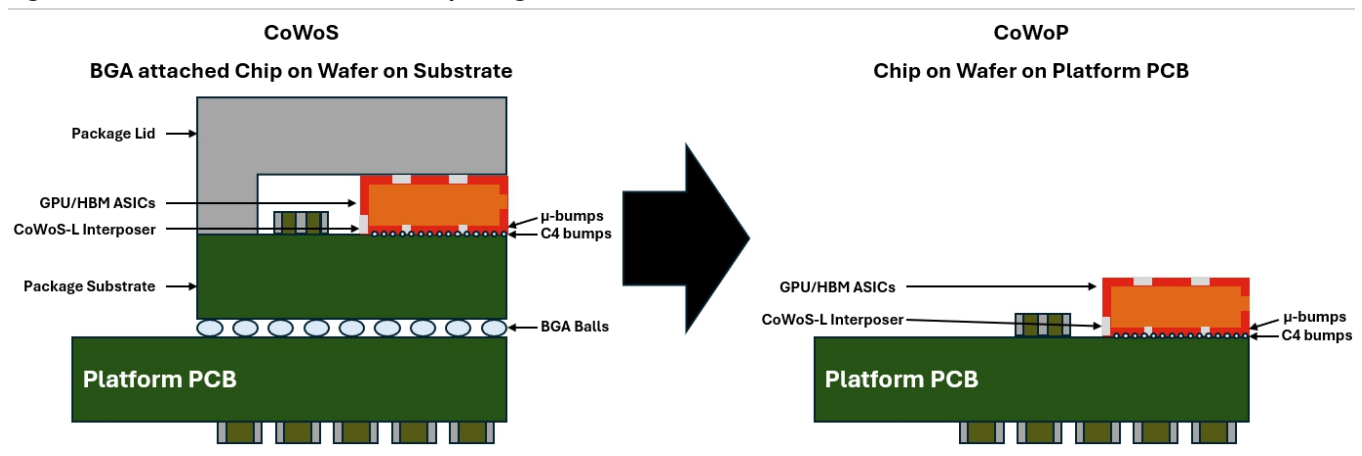
until 2030; while SEMCO is operating a pilot production line with Japan's Sumitomo Chemical Group to secure glass core material supply with mass production likely taking place after 2027.

2) CoWoP (Chip-On-Wafer-on-PCB)

CoWoP (Chip-on-Wafer-on-PCB) is an NVIDIA-led advanced packaging architecture, developed with partners such as TSMC, that targets lower cost and improved scalability versus CoWoS by eliminating the ABF substrate layer and directly bonding the silicon interposer plus GPU/HBM assembly onto a large platform PCB. This substrate-less design leverages mature PCB manufacturing to support high-speed NVLink interconnects and HBM integration while enabling larger form factors for AI systems. Technically, CoWoP retains a silicon interposer with TSVs and fine-pitch RDL for high-density interconnects, with chip integration via micro-bump or hybrid bonding, but shifts system-level routing to advanced PCB technologies such as HDI and mSAP (typically ~20–35 μm line/space). This enables shorter interconnect paths, improving signal and power integrity, while the lidless design supports more efficient thermal dissipation.

The primary advantage of CoWoP lies in cost and scalability. By removing the ABF substrate and simplifying the packaging stack, it can deliver an estimated 30–50% reduction in packaging cost while enabling panel-level manufacturing (e.g., ~450 × 450 mm), which improves throughput and capacity ramp timelines. However, the trade-off lies in lower routing precision versus CoWoS and increased manufacturing challenges, including PCB warpage, CTE mismatch, and the need for substrate-like precision in PCB fabrication. As such, CoWoP is expected to complement rather than replace CoWoS, which remains the preferred solution for highest-performance AI GPUs.

Figure 9: CoWoS to CoWoP: removal of package lid/substrate and BGA balls



Source: Company data, UBS

- Timing and implications for Taiwanese PCB/substrate makers:** Taiwanese companies noted that CoWoP remains at experimental stage as major technical hurdles persist. Achieving substrate-like performance would require PCB line/space to shrink from ~20/35 μm to sub-10 μm , well beyond current manufacturing capabilities, creating challenges in yield, warpage, and reliability. Our industry checks suggests Unimicron and SEMCO are working on this technology as customers have not cancelled or completely moved away from CoWoP; but has limited visibility on commercialization timing, and other substrate makers such as Kinsus and NYPCB has not mentioned much on CoWoP investments.

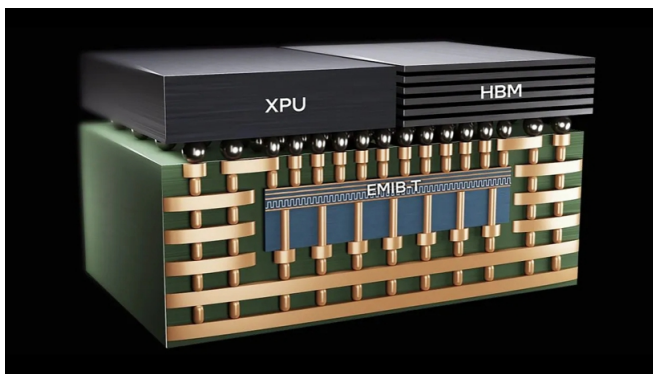
3) EMIB-T (Embedded Multi-die Interconnect Bridge-Through-Silicon Via)

Embedded Multi-die Interconnect Bridge (EMIB) is Intel's 2.5D advanced packaging technology designed to support high-performance applications such as AI, machine learning (ML), and high-performance computing (HPC), where high data throughput and low latency are critical. Unlike CoWoS, which relies on a large silicon interposer, EMIB embeds small silicon bridges directly into an organic ABF substrate, enabling localized high-density interconnects while maintaining a simpler and more cost-efficient structure. This hybrid approach allows heterogeneous integration with tight microbump

pitch only at the bridge and relaxed pitch elsewhere, improving scalability, design flexibility, and yield while avoiding the cost and size limitations of full interposers. EMIB has been in high-volume manufacturing since 2017 and is widely deployed across server, networking, and HPC applications.

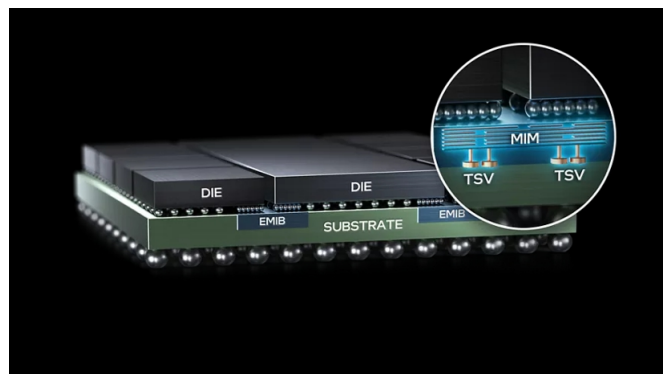
EMIB-T builds upon the proven technology of EMIB by incorporating TSVs to enhance package power delivery efficiency, ultra-high-speed UCIe die-to-die communications to enable HBM integration on package. The shift toward EMIB-T is driven by two structural factors. First, CoWoS capacity constraints, largely tied up by NVIDIA GPUs, limit access for other hyperscalers. Second, EMIB-T offers cost and size advantages, as it removes the need for large interposers and reduces manufacturing complexity. However, EMIB involves trade-offs: while it is more cost-efficient and scalable, it typically has higher latency and lower interconnect density than CoWoS, making it better suited for ASIC and less interconnect-intensive designs, whereas CoWoS remains preferred for maximum-performance AI GPUs.

Figure 10: EMIB-T acting as small silicon "bridges"



Source: Intel

Figure 11: Incorporating TSVs to enhance performance



Source: Intel

From a supply chain perspective, EMIB-T is structurally supportive of the ABF ecosystem, as it continues to rely on organic substrates rather than replacing them. The ecosystem includes ABF film and leading substrate manufacturers such as Unimicron and Ibiden, which benefit from sustained demand for advanced substrate capacity. This contrasts with CoWoP, which removes the substrate layer entirely. As a result, EMIB-T represents a stabilizing factor for ABF demand, particularly as AI ASIC development accelerates among hyperscalers. That being said, there are manufacturing and engineering hurdles now that ABF substrates are taking on the routing and power delivery. It calls for ultra-high-density ABF substrates with stringent requirements for finer line/space routing, advanced laser via drilling, die warpage, and embedded cavity precision, etc. 3D stacking allows SoIC to deliver better performance but at the expense of thermal constraints and manufacturing complexity.

Looking ahead, EMIB-T adoption is expected to ramp gradually, with design cycles of approximately 18 months and production cycles of ~12 months, implying meaningful revenue contribution likely around 2028. Initial deployments are expected to be in-house (Intel and hyperscalers) before broader commercialization. Key milestones include potential adoption in Google TPU v9, Meta MTIA, and next-generation ASIC platforms, alongside MediaTek's ramp in EMIB-T and possible designs on Intel's advanced nodes (e.g., 18A).

- Timing and implications for Taiwanese PCB/substrate makers:** Intel is targeting mass production for EMIB-T by H227 or 2028. Our studies suggest the front-end process could leverage the existing substrate production lines, but the back-end process would require new equipment investments. The yield rate challenges will likely lead to higher manufacturing costs at the initial stage, but we noted customer has been showing strong incentive in EMIB-T technology to resolve CoWoS capacity bottleneck. Unimicron has been committing resources for this technology with dedicated production line for Intel. We believe Ibiden and Unimicron will be the primary supplier for Intel's EMIB-T if volumes takes off.

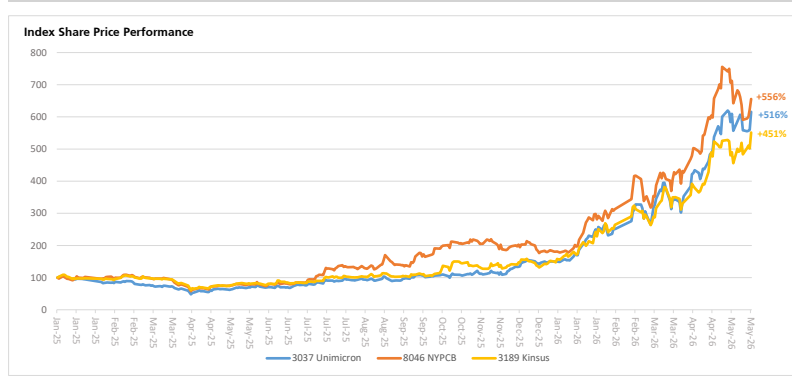
Valuation: Poised for more multiple expansion

We note that the prior upcycle in 2019-2022 were primarily driven by the sudden surge in PC demand where a lot of capacity expansion was then set in motion and substrate makers had come to agreement with their customers to facilitate capacity expansion. Unfortunately, consumer demand fell short of expectations coming out of the pandemic that led to sharp decline in substrate market pricing amid oversupply in 2023-2024. The substrate market troughed in early 2024 and slowly recovered supported by general computing demand and moderate PC recovery, later followed by AI taking off with strength continuing till today. We believe AI is driving a different upcycle for substrate makers that will be stronger for longer as not only unit growth but also requirement for larger substrate size and higher layer count will serve as strong demand tailwind.

While the stocks have moved higher, we believe we are still in the early innings of an upcycle where the stocks were pricing in the initial ASP increases from higher material costs; but has yet fully factored in a structurally different cycle driven by AI that we anticipate a much more favourable pricing among imbalance supply/demand dynamics and multiple should drift higher as margins/earnings start to manifest. Among the Taiwan substrate makers - 1) we continue to like Unimicron as the clear technology leader with share gains at NVDA GPU; 2) we maintain Buy on Kinsus as its AI projects start to bear fruit with share gains at NVDA CPU; and 3) maintain Neutral on NYPCB as we see volume growth capped as no new capacity additions until 2028 despite stronger pricing power given more orders based on spot prices that allows NYPCB to enjoy the full benefit of price hikes sooner than peers.

We are changing our target multiple framework for Unimicron, Kinsus, and Nanya PCB from a P/BV-based approach to a P/E-based methodology, reflecting improving earnings visibility and stronger demand support from AI-driven compute intensity and advanced packaging. Historically, the sector traded on P/BV given earnings volatility, while P/E appeared elevated during prior cycles (c. 2012–2020) due to depressed earnings. For asset heavy companies P/B can be good for trough and support valuation or where earnings are too volatile / not sustainable. However, the increasing contribution from advanced substrates has supported more stable profitability. With capacity expansion more closely aligned to customer demand and higher exposure to high-end applications, we believe P/E better captures earnings expansion. We think investors will switch to P/E if they believe the industry has either structural change or longer sustained earnings—investors that are buying PCB/substrates are likely buying with the view this will be a stronger for longer cycle vs COVID where they were de-rating by H221 and in this period are paying higher P/E on expected higher growth the next several years.

Figure 12: Substrate stocks: NYPCB has outperformed peers, with growth largely priced in, while capacity expansion lags



Source: TEJ, Note: Data as of 21 May 2026

We lift our estimates for all three substrate makers to factor in accelerated growth from capacity expansion and stronger than expected pricing amid industry undersupply dynamic with meaningful uplift in margins; and refresh price targets to factor in more margin upside and earnings power expansion. The industry was concerned about the capacity expansion announcements might lead to oversupply. Ibidem has noted that high-end ABF substrate demand for AI servers and ASICs are looking to rise 4-5x from 2024 through 2028, and this does not include the additional growth we have already started witnessing on CPUs for general computing/agent AI and switch/storage that

are riding along the increasing computing needs. We noted that most of the major substrate companies are looking to expand capacity by only 20-50% in the coming years, suggesting further upside risk to pricing. We lift our PTs based on 20-30x 2028E P/E for Taiwan substrate makers, which we believe remains reasonable compared to 30-40x range for AI-related stocks.

Figure 13: Peer valuation benchmark vs Taiwan hardware/components peers

		Market cap	Price 21-May	Price target	EPS (LC\$)			Earnings growth (%)			P/E (x)			P/B (x)			ROE (%)			Div Yld (%)		
Company	Ticker	(US\$m)	(LC\$)	(LC\$)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Components																						
AAC	2018.HK	6,132	42	37	2.39	2.73	2.95	n.m.	n.m.	n.m.	15.2	13.2	12.2	1.6	1.4	1.3	10.8	11.2	11.0	0.9	0.9	1.1
King Slide Wc	2059.TW	14,720	4,895	5,350	151.96	179.33	197.22	47.2	18.0	10.0	32.2	27.3	24.8	12.3	9.8	8.0	44.1	40.1	35.7	3.2	3.8	4.2
Delta	2308.TW	166,984	2,030	2,600	43.35	64.00	85.00	87.3	47.6	32.8	46.8	31.7	23.9	14.3	10.6	8.1	35.4	38.5	38.5	0.6	1.1	1.6
Genius	3406.TW	2,060	577	610	38.00	42.00	44.69	15.7	10.5	6.4	14.6	13.7	12.9	2.3	2.1	1.9	16.1	15.7	15.4	2.9	3.3	3.6
Giga-Byte	2376.TW	6,346	317	340	25.22	26.26	29.32	38.6	4.1	11.6	12.0	12.1	10.8	3.1	2.8	2.5	27.6	24.3	24.3	3.4	4.7	4.9
Largan	3008.TW	14,689	3,460	3,150	190.00	210.00	232.52	19.2	10.5	10.7	18.5	16.5	14.9	2.3	2.1	2.0	12.6	13.1	13.5	2.3	2.7	3.0
Micro-Star	2377.TW	3,023	113	108	10.75	9.24	10.27	58.0	(14.0)	11.1	10.5	12.2	11.0	1.6	1.5	1.4	15.8	12.6	13.2	3.4	4.4	3.7
Sunny Optica	2382.HK	9,523	69	57	3.36	4.06	4.40	(21.3)	20.9	8.3	17.8	14.7	13.5	2.0	1.8	1.7	12.0	13.2	12.9	1.7	1.3	1.6
Lotes	3533.TW	8,998	2,525	3,080	92.96	125.83	154.62	32.5	35.4	22.9	27.2	20.1	16.3	6.3	5.3	4.4	25.0	28.6	29.4	1.4	1.8	2.5
Total Components		280,727						60.0	32.3	25.7	43.3	32.7	26.1	10.3	8.5	7.0	23.7	25.8	26.8	0.7	1.2	1.6
PCB																						
Kinsus	3189.TW	7,909	554	680	10.06	18.45	28.41	185.8	83.3	54.0	55.1	30.0	19.5	6.9	5.9	4.9	13.2	21.2	27.5	0.3	0.8	1.5
Nan Ya PCB	8046.TW	17,843	872	875	12.72	24.37	34.91	322.2	91.6	43.3	68.6	35.8	25.0	10.6	8.7	7.1	16.6	26.7	31.3	0.2	0.7	1.3
Unimicron	3037.TW	43,671	905	1,200	14.34	27.54	39.80	227.1	92.1	44.5	65.3	32.9	22.7	11.5	9.0	7.0	19.2	30.8	34.7	0.2	0.6	1.1
Total PCB		92,234						238.8	90.8	45.4	76.2	39.9	27.5	12.6	10.2	8.1	16.6	25.4	29.4	0.2	0.6	1.1

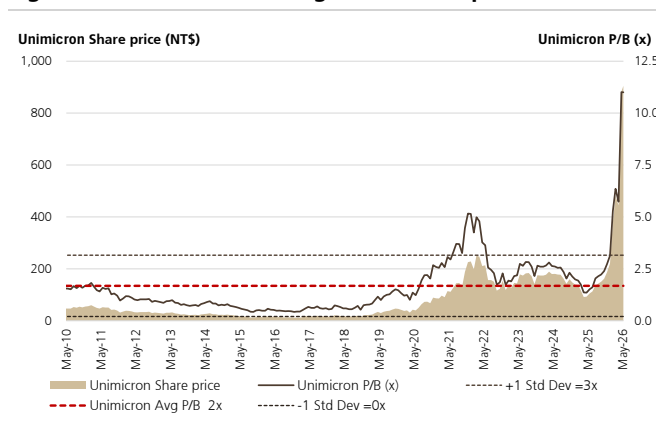
Source: Company data, UBS estimates, Note: Data as of 21 May 2026

Unimicron (Maintain Buy, PT up to NT\$1,200) is trading at 30x/19x 2027/2028E P/E, still below Taiwan hardware/components peers trading average at 33x/26x while at +1STD P/E historical trading range. We believe it has priced in the substrate price increases to date driven by mostly material price hikes and some pricing premium; yet considering the industry is entering a structurally different upcycle from AI server fundamentals with more margin upside on the way, we believe the stock has not fully factored in the stronger pricing bargaining power supported by AI-driven demand upside and stronger-than-expected margin expansion.

We believe our target multiple of 30x P/E is justified, on par with other industry leading hardware peers that are riding along the AI secular trend; and also sits at +1STD P/E historical trading range, which we see warranted by a longer and stronger upcycle driven by AI fundamentals; and still view Unimicron as our top pick among the Taiwan substrate makers given its leadership. We also note that we previously valued Unimicron based on P/B valuation methodology with a target multiple of ~7x P/BV. Our updated PT of NT\$1,200 would imply a target multiple of ~9x 2028E P/BV, compared to the prior peak cycle of 5.0x P/BV. We believe this would be fair as we expect the company to generate strong and accelerating profits margins with 33.5% ROE in 2028E, up significantly from 20% average ROE through prior peak cycle 2020-2022.

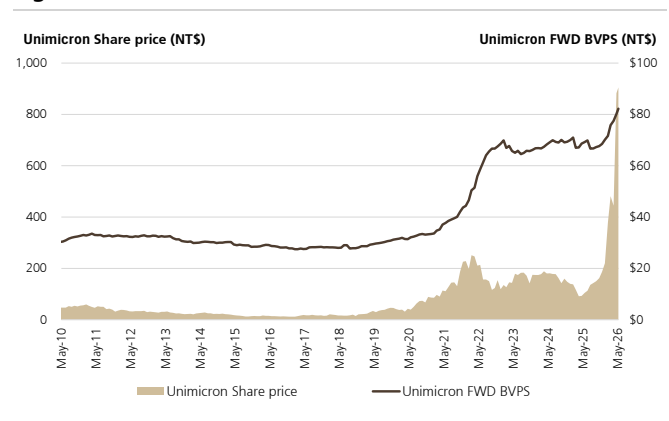
We believe Unimicron is well-positioned to benefit from AI server as one of the major substrate suppliers for Nvidia GPU, where the company is gaining market share against Ibiden; and also supplying major ASICs projects including Google TPU, AWS Trainium, and Meta MTIA; which we think deserves further-erating.

Figure 14: Unimicron trading at historical peak P/B



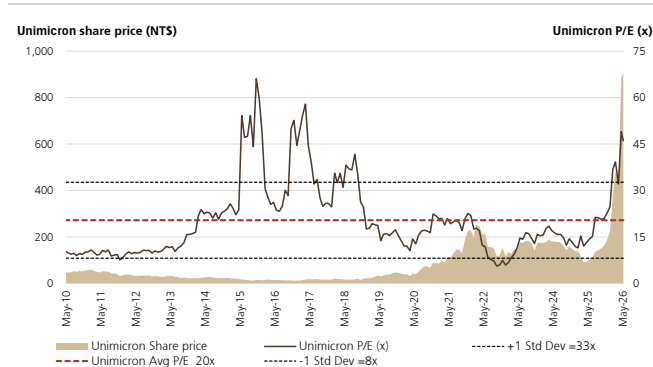
Source: Factset, Company Data

Figure 15: Unimicron's stock versus its book value



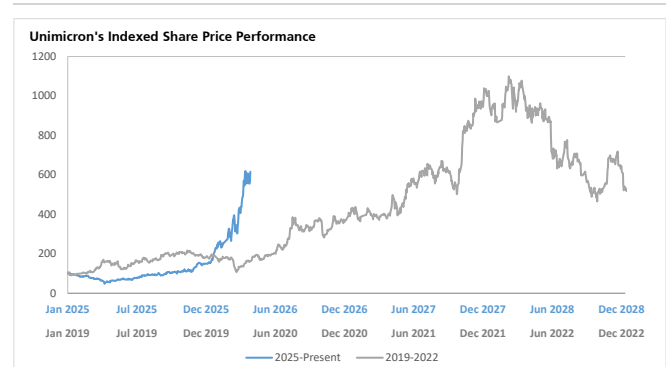
Source: Factset, Company Data

Figure 16: Unimicron trading above +1 STD P/E



Source: Factset, Company Data

Figure 17: Unimicron - cycle comparison

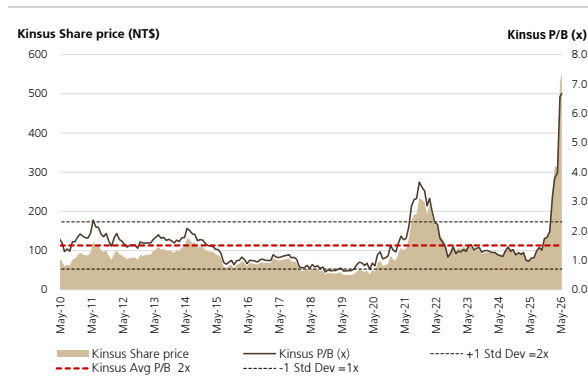


Source: Factset, Company Data

Kinsus (Maintain Buy, PT up to NT\$680) is trading at 26x/17x 2027E/2028E P/E, compared to Taiwan hardware/components peers trading average at 33x/26x. We believe its YTD performance has priced in potential share gains in NVDA CPU as well as other ASIC projects; yet the stock is still trading below industry peers, we believe the current multiple has not fully priced in its margin expansion potential, which should act as a reflection point and believe the stock deserves a re-rating as its business structure starts to improve with AI-related applications picking up streams to reach 10-15% sales in 2026/2027E.

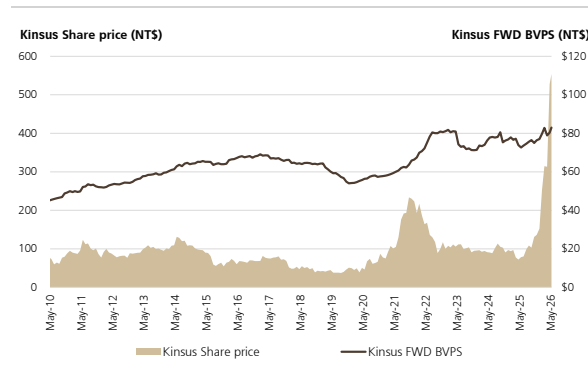
We believe our target multiple of 24x 2028 P/E is justified, which is a touch lower than Taiwan hardware components trading average at 26x or substrates peers target multiple (Unimicron/NYPCB target P/E at 30x/25x) considering higher consumer exposure with lower AI exposure. We also note that this target multiple is at the mid to high-end range (15-30x) of its historical trading range, which we see as warranted as the company is going through a transformation with strong growth from new AI projects and networking switch upgrades as well as content increases across AI, regular servers, networking/switches etc. We also note that we previously valued NYPCB based on P/B valuation methodology with a target multiple of ~4.5x 2027E P/BV. Our updated PT of NT\$680 would imply a target multiple of ~5.1x 2028E P/BV, compared to the prior peak cycle of 3.5-4.0x P/BV range. We believe the implied target multiple would be fair as we expect the company to generate strong and accelerating profits margins with 23.2% ROE in 2028E, up from 11.2% average ROE through prior peak cycle in 2020-2022. Major downside risks include 1) substrate margins fall short of expectations; 2) slower than expected demand for AI GPU/CPU and ASIC projects; and 3) muted consumer demand dragging the overall business performance.

Figure 18: Kinsus trading at historical peak 6.7x P/B



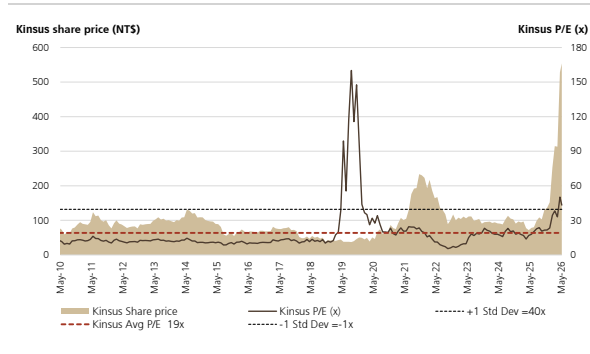
Source: Factset, Company Data

Figure 19: Kinsus' stock versus its book value



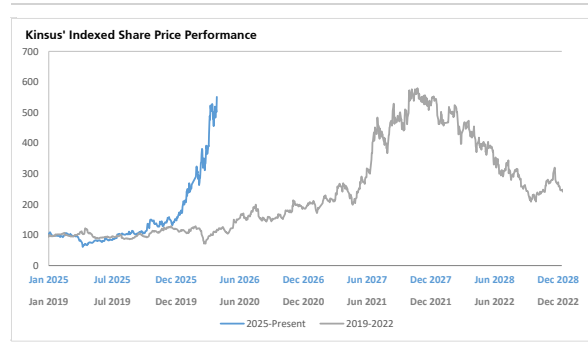
Source: Factset, Company Data

Figure 20: Kinsus P/E



Source: FactSet, Company Data

Figure 21: Kinsus - cycle comparison

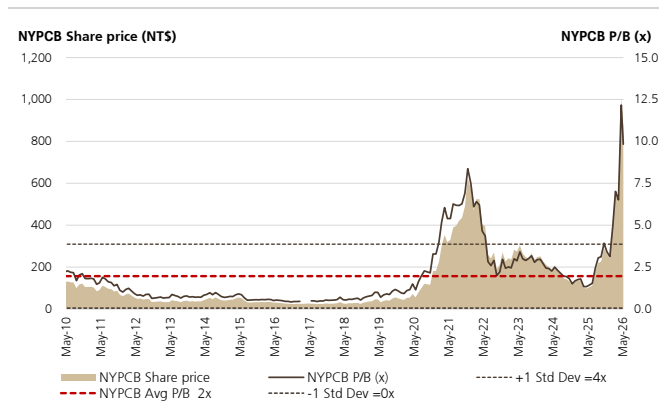


Source: Factset, Company Data

NYP CB (Maintain Neutral, PT up to NT\$875) is trading at 26x/17x 2027/2028E P/E, compared to Taiwan hardware/components peers trading average at 33x/26x. Expectations can swing sharply for the company with the business cycle. The stock has rallied, pricing in stronger growth and margins upside risks from AI and Switch projects as market is expecting margins to return to 2021-22 profitability level. That being said, the stock is now trading below industry peers average factoring in downside risk from business correction as its business growth is susceptible to demand and price fluctuations as a tier two supplier relatively to Ibiden and Unimicron.

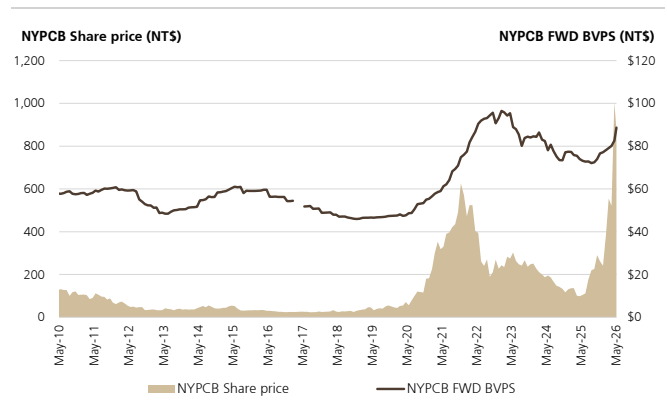
We believe our target multiple of 25x 2028E P/E is justified, on par with Taiwan hardware components peers trading average at 26x while still below its historical trading range of 15-35x forward P/E during more normalized earnings period. We believe this target multiple is justified considering risks on either side - we believe the company is in position to enjoy growth from 800G/1.6TB transition with traction in ASIC projects with favourable pricing upside; but also see potential downside risks as slower capacity expansion might drag volumes and margins could swing sharply considering its pricing is also more vulnerable if things turn. We also note that we previously valued NYP CB based on P/B valuation methodology with a target multiple of ~6.1x 2027E P/BV. Our updated PT of NT\$875 would imply a target multiple of ~7x 2028E P/BV, compared to the prior peak cycle of 6.0-8.4x P/BV range. We believe the implied target multiple is fair as we expect the company to generate strong and accelerating profits margins with 31.2% ROE in 2028E, up from 27.4% average ROE through prior peak cycle in 2020-2022.

Figure 22: NYP CB trading at historical peak of 9.8x P/B



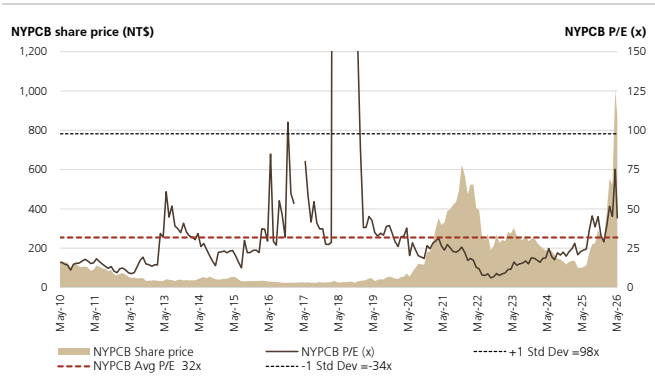
Source: Factset, Company Data

Figure 23: NYP CB's stock versus its book value



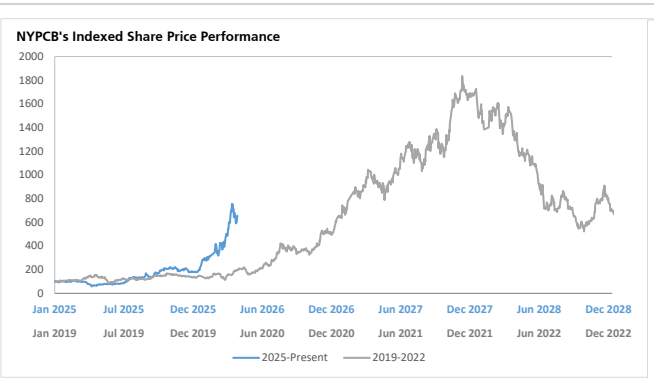
Source: Factset, Company Data

Figure 24: NYPCB P/E



Source: Factset, Company Data

Figure 25: NYPCB - cycle comparison



Source: Factset, Company Data

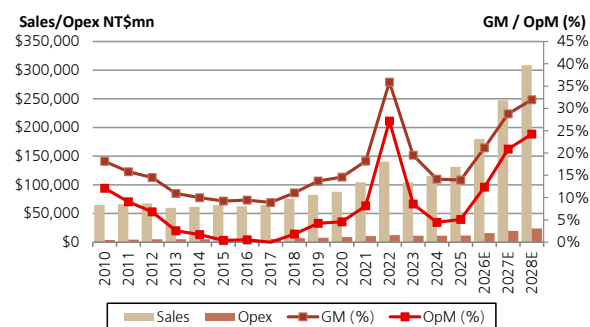
Unimicron (3037.TW, Buy, PT revised up to NT\$1200)

Still expect more to come, our top pick among Taiwan substrate makers

Unimicron reported results on April 28th, Q126 GM came in at 18%, improved further from 15.8% in Q425, driven by stronger sales and favourable product mix with more high-end ABF product. We model Q226E sales up 9% QoQ with full year 2026E sales to grow 37% YoY, led by IC carrier +47% YoY and HDI +32% YoY. The company is in the process of adjusting BT production lines in order to support more ABF demand. We model BT capacity will lower by 15% YoY in 2026E while margins likely remain at low single digits during the transition. Meanwhile, we expect ABF substrate capacity will increase by 40% YoY in 2026E with Guangfu fab 1 ramping phase III and Yangmei fab 1 capacity to be fully loaded from H126, and noted some incremental capacity additions coming from continued efforts on automation and reorganizing production lines.

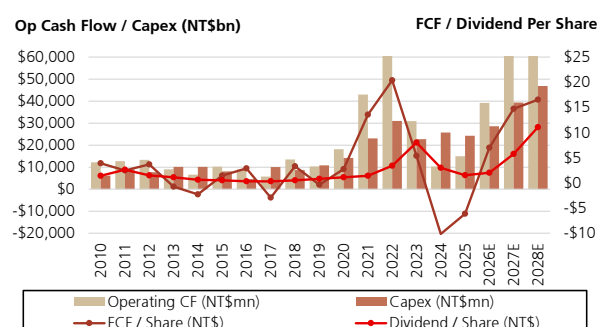
The company previously noted Q126 price hikes were much more meaningful than Q425, we anticipate price hikes will accelerate into H226E as a number of AI projects, including GPU/ASIC substrates and strength from AI CPUs and general server, on top of limited material supply improvement, should continue to provide supportive pricing environment. We expect gross margins for ABF products will walk up to 30-35% in H226 and further improve to 35-40% level in 2027E; HDI margins should gradually tick up on improving yield rates; while BT margins likely remain below corporate average.

Figure 26: Margins inflection better than expected



Source: TEJ, UBS estimates

Figure 27: Unimicron Op Cash Flow vs. Capex



Source: Company data, UBS estimates

We revise up our 2026/2027E/2028E earnings by 34%/38%/56% to NT\$14.34/NT\$27.54/NT\$39.80. We've witnessed content value increase of 50-100%+ each year for new AI server GPU upgrades - accelerated product transitions compared to the typical upgrade cycle of 3-5 years for PCs and traditional servers, and the content step up is also bigger given the rising component complexities and densities for increasing computing, power, and networking requirement. In addition, we believe there is room for further margin expansion as the ABF substrate capacity should remain loaded to support robust AI demand where pricing environment will remain favourable as the industry undersupply continues into 2026/2027, and the HDI fab is also seeing progress in yield rate, which should drive stronger profitability. We expect its GM to reach 28-32% in 2026E/2027E, exceeding 2021-2023 upcycle average of 20-25%; and earnings power should reach NT\$39.80 in 2028E, above 2021-2023 upcycle average of NT\$10-15/ share.

The downside risks include: 1) substrate makers' ability to pass on increasing cogs, which could potentially lower if improved t-glass shortages were able to close the supply/demand gap; 2) slower-than-expected yield rate improvement for the new HDI fab that could drag both revenue growth and margins; and 3) lower-than-expected utilization rate for ABF that could weigh on profitability. We do believe there is ample room for more upside from AI and margins considering AI servers' substantial growth, spec upgrades as well as content increases across AI, regular servers, networking/ switches etc; and utilization rate and yield rate improvement for newly ramped capacities will support margin expansion.

Figure 28: Unimicron Earnings Revision Table

	Q425	Q126			Q226E		
(NT\$m)	Actual	Actual	UBSe prior	Consensus	UBSe	UBSe prior	Consensus
Revenue	34,691	37,446	36,734	37,156	40,832	40,467	42,251
- QoQ / YoY	2.0%	7.9%	5.9%	-0.8%	9.0%	10.2%	13.7%
Gross profit	5,472	6,726	6,251	6,949	8,009	7,656	9,033
- Gross margin	15.8%	18.0%	17.0%	18.7%	19.6%	18.9%	21.4%
Operating profit	2,366	2,757	2,982	3,716	4,561	4,238	5,294
- OP margin	6.8%	7.4%	8.1%	10.0%	11.2%	10.5%	12.5%
Non-op profit	1,785	3,542	500	786	421	500	974
Pre-tax profit	4,150	6,299	3,482	4,422	4,982	4,738	6,269
Tax	235	918	696	889	726	948	1,415
- Tax rate	5.7%	14.6%	20.0%	20.1%	14.6%	20.0%	22.6%
Net profit	3,535	5,043	2,404	3,533	3,918	3,409	4,854
Reported EPS (NT\$)	2.29	3.27	1.58	2.17	2.55	2.24	2.97

	2025	2026E			2027E		
(NT\$m)	Actual	UBSe	UBSe prior	Consensus	UBSe	UBSe prior	Consensus
Revenue	131,241	179,744	172,437	180,980	247,638	219,987	250,003
- QoQ / YoY	13.8%	37.0%	31.4%	37.9%	37.8%	27.6%	38.1%
Gross profit	18,292	38,049	34,867	42,151	71,263	55,298	80,168
- Gross margin	13.9%	21.2%	20.2%	23.3%	28.8%	25.1%	32.1%
Operating profit	6,674	22,210	20,276	26,056	51,735	37,956	60,469
- OP margin	5.1%	12.4%	11.8%	14.4%	20.9%	17.3%	24.2%
Non-op profit	2,153	4,923	1,960	4,947	2,360	1,960	2,823
Pre-tax profit	8,827	27,133	22,236	31,003	54,095	39,916	62,889
Tax	1,277	3,955	4,447	6,155	10,819	7,983	13,087
- Tax rate	14.5%	14.6%	20.0%	19.9%	20.0%	20.0%	20.8%
Net profit	6,673	21,827	16,264	24,848	41,925	30,407	49,802
Reported EPS (NT\$)	4.34	14.34	10.69	15.30	27.54	19.99	31.22

Source: Company data, UBS estimates, Refinitiv. Note: Above EPS figure reflects reported EPS that might display different figures in other financials table that are adjusted earnings.

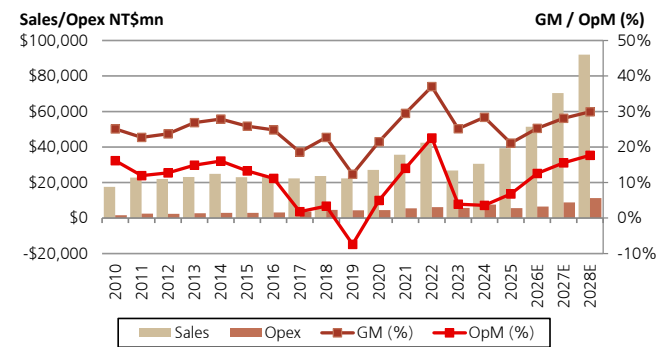
Kinsus (3189.TW, maintain Buy, PT revised up to NT\$680)

Maintain Buy on share gains in NVDA CPU and ASICs

We expect utilization rate to remain elevated at 86% for ABF substrates in Q226 with ABF sales up 18% QoQ. We anticipate growth in both ABF and BT substrates driven by NVDA CPU, GPU, ASICs (for ABF) and memory (for BT), respectively. We model ABF capacity to increase by 22% YoY in 2026E with low to mid single digit pricing uplifts in H126 and high single digits increase in H226. Full year we expect Kinsus to deliver 31% YoY sales growth to factor in new order win and better-than-expected pricing. NVDA VR will start to ramp in Q326, and expect this new project could contribute 5-10% of total revenue in 2026E with 2-3% contribution from ASIC projects. All in, we forecast AI-related ABF substrate revenue contribution could reach 10%-15% in 2026E.

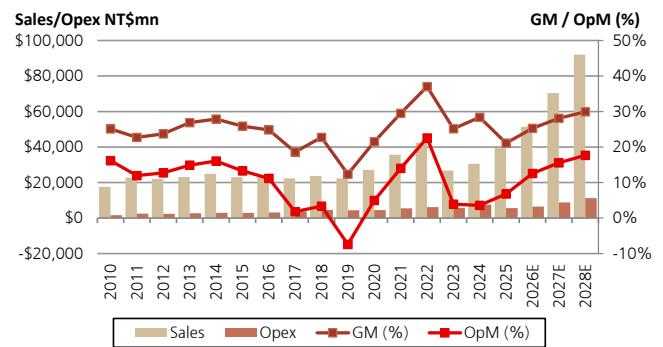
In our prior note, we highlighted its exposure to NVDA/AMD GPUs as well as other ASIC projects (likely Google and Meta, in our view) and potential share gains into Broadcom switch. We believe Kinsus has secured orders for NVDA's Vera CPUs and will likely become a major supplier with potentially 50% share, up from 10% share for Grace CPUs. We also note that the company is potentially looking to solidify its relationship with its customers through strategic investments (such as private placement) to assure better order visibility. Meanwhile, we still model muted growth or handset (35% of sales) and contact lens (15-20% sales). Kinsus' consumer exposure (handset+consumer electronics+contact lens) will continue to be lower from 70% in 2020 to below 50% by 2027E.

Figure 29: Margins improvement expected



Source: TEJ, UBS estimates

Figure 30: Kinsus Op Cash Flow vs. Capex



Source: Company data, UBS estimates

The company previously revised up its 2026 capex budget from NT\$4.5bn to NT\$9.5bn to expand high-end ABF substrate capacity at Fab 6, which we estimate would add 10mn units of monthly capacity (or a 25% increase of ABF capacity) with production kicking off in 2027E. The industry expects T-glass shortages could continue into 2028 given strong demand, thus anticipate more aggressive pricing upside to come. We model 2027E/2028E sales to grow 37%/ 31% YoY with ABF up 64%/39% YoY. Similar to other substrate makers, we expect continual margins improvement with GM/OpM up 415bps/578bps YoY to 25%/13% in 2026E considering the supportive pricing environment to pass on costs. That being said, our GM for 2027E is below street, factoring higher depreciation from increased capex. All-in, we revise up 2026/2027/2028E EPS by 14%/41%/49% to NT\$10.06/NT\$18.45/NT\$24.83.

Figure 31: Kinsus Earnings Revision Table

	Q425	Q126			Q226E		
(NT\$m)	Actual	Actual	UBSe prior	Consensus	UBSe	UBSe prior	Consensus
Revenue	10,811	11,105	10,781	10,951	12,245	11,812	12,649
- QoQ / YoY	4.4%	2.7%	-0.3%	1.3%	10.3%	9.6%	13.9%
Gross profit	2,393	2,349	2,481	2,679	3,066	2,958	3,124
- Gross margin	22.1%	21.2%	23.0%	24.5%	25.0%	25.0%	24.7%
Operating profit	921	891	920	1,172	1,499	1,446	1,507
- OP margin	8.5%	8.0%	8.5%	10.7%	12.2%	12.2%	11.9%
Non-op profit	135	74	75	52	70	75	64
Pre-tax profit	1,055	964	995	1,224	1,569	1,521	1,572
Tax	118	89	159	164	235	243	227
- Tax rate	11.1%	9.2%	16.0%	13.4%	15.0%	16.0%	14.4%
Net profit	642	549	536	751	1,033	977	1,040
EPS (NT\$)	1.41	1.17	1.18	1.44	2.21	2.15	1.95

	2025	2026E			2027E		
(NT\$m)	Actual	UBSe	UBSe prior	Consensus	UBSe	UBSe prior	Consensus
Revenue	39,351	51,407	49,300	53,765	70,363	59,148	74,848
- QoQ / YoY	28.9%	30.6%	25.3%	36.6%	36.9%	20.0%	39.2%
Gross profit	8,314	12,997	12,314	13,639	19,757	15,688	22,488
- Gross margin	21.1%	25.3%	25.0%	25.4%	28.1%	26.5%	30.0%
Operating profit	2,670	6,460	5,900	6,854	10,949	8,182	13,512
- OP margin	6.8%	12.6%	12.0%	12.7%	15.6%	13.8%	18.1%
Non-op profit	417	284	300	307	300	300	282
Pre-tax profit	3,087	6,744	6,200	7,161	11,249	8,482	13,794
Tax	370	956	992	1,003	1,687	1,357	1,942
- Tax rate	12.0%	14.2%	16.0%	14.0%	15.0%	16.0%	14.1%
Net profit	1,596	4,562	4,008	4,848	8,362	5,925	10,482
EPS (NT\$)	3.52	10.06	8.84	9.85	18.45	13.07	21.35

Source: UBS estimates, Company data, Refinitiv. Note: Above EPS figure reflects reported EPS that might display different figures in other financials table that are adjusted earnings.

NYP CB (8046.TW, Neutral, PT revised up to NT\$875)

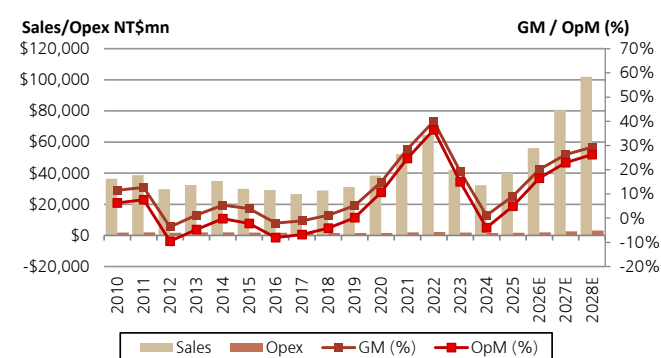
Strong demand from 800G/1.6TB and new ASIC projects with favourable pricing; but new capacity not out until 2028

We model Q226E sales to grow 16.9% QoQ with BT substrate to remain fully loaded while ABF utilization rate will likely grow from 75%/80% in Q425/Q126 to 82% in

Q226E due to continued momentum in networking and ASIC projects starting to ramp. We forecast NYPCB sales to grow 40%/44% in 2026E/2027E, supported by structural demand tailwinds driven by AI/networking and substrate spec upgrades. We expect ABF/BT price hikes driven by higher material costs will drive margin improvement; and anticipate ABF substrate will remain undersupply in 2027 with structural demand tailwinds and further price uplifts. We forecast NYPCB GM/OpM up 11.0ppt/11.6ppt YoY to 20.1%/16.5% in 2026E and up 6.1ppt/6.4ppt YoY to 26.2%/22.9% in 2027E, considering the supportive pricing environment to pass on costs and secure capacity.

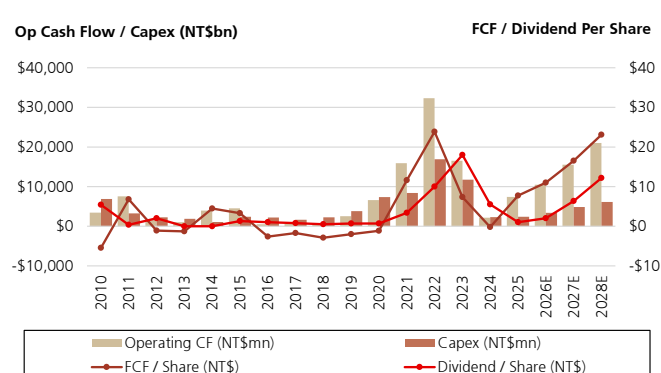
At its shareholder meeting in May 2026, management noted it looks to kick off large-scale capacity expansion and capital investments will exceed historical level. NYPCB invested a total of NT\$44.5bn over 2020-2023 (c.NT\$11bn/year on average) and based on its historical capacity expansion, we estimate every NT\$10bn capex investment would imply c.200-300ksq ft (or roughly 25-35mn units) of ABF substrate monthly capacity additions. 80% of its current capacity sits in Taiwan with the remaining 20% at Kunshan. Kunshan fab is expected to see double-digit capacity expansion in 2026 through debottleneck. The new capacity expansion will focus on high-end ABF substrates, but unlikely to come online before 2028, which could capped on growth.

Figure 32: Margins inflection better than expected



Source: TEJ, UBS estimates

Figure 33: NYPCB Op Cash Flow vs. Capex



Source: Company data, UBS estimates

All-in, we revise up 2026/2027/2028E EPS by 26%/35%/85% to NT\$12.72/NT\$24.37/NT\$34.91. We anticipate strong growth from new AI projects and networking switch upgrades as well as content increases across AI, regular servers, networking/switches etc. Expectations can swing sharply for the company with the business cycle. Upside risk could emerge if expectations revert to 2021–22 profitability levels, while downside stems risk from potential business corrections, given sensitivity to demand and pricing as a tier-two supplier to Ibiden and Unimicron, this is despite tailwinds from 800G/1.6T switch ramp and upcoming AI projects.

Figure 34: NYPCB Earnings Revision Table

	Q425	Q126			Q226E		
(NT\$m)	Actual	Actual	UBSe prior	Consensus	UBSe	UBSe prior	Consensus
Revenue	11,165	11,177	11,473	11,327	13,071	12,513	13,684
- QoQ / YoY	1.8%	0.1%	2.8%	1.5%	16.9%	9.1%	20.8%
Gross profit	1,398	1,771	1,554	1,648	2,384	1,894	2,656
- Gross margin	12.5%	15.8%	13.5%	14.5%	18.2%	15.1%	19.4%
Operating profit	963	1,352	1,098	1,202	1,923	1,434	2,198
- OP margin	8.6%	12.1%	9.6%	10.6%	14.7%	11.5%	16.1%
Non-op profit	446	246	185	189	185	180	162
Pre-tax profit	1,409	1,598	1,282	1,392	2,108	1,614	2,331
Tax	207	290	256	274	390	323	445
- Tax rate	14.7%	18.1%	20.0%	19.7%	18.5%	20.0%	19.1%
Net profit	1,202	1,309	1,026	1,127	1,718	1,291	1,852
EPS (NT\$)	1.86	2.03	1.59	2.07	2.66	2.00	2.79

	2025	2026E			2027E		
(NT\$m)	Actual	UBSe	UBSe prior	Consensus	UBSe	UBSe prior	Consensus
Revenue	40,173	56,131	52,789	59,099	80,665	68,576	87,785
- QoQ / YoY	24.4%	39.7%	31.4%	47.1%	43.7%	29.9%	48.5%
Gross profit	3,647	11,267	9,601	12,969	21,148	16,345	27,846
- Gross margin	9.1%	20.1%	18.2%	21.9%	26.2%	23.8%	31.7%
Operating profit	1,982	9,276	7,659	11,078	18,502	13,848	25,555
- OP margin	4.9%	16.5%	14.5%	18.7%	22.9%	20.2%	29.1%
Non-op profit	363	801	725	686	820	705	804
Pre-tax profit	2,346	10,077	8,384	11,743	19,322	14,553	26,359
Tax	399	1,858	1,677	2,201	3,575	2,911	4,734
- Tax rate	17.0%	18.4%	20.0%	18.7%	18.5%	20.0%	18.0%
Net profit	1,947	8,219	6,707	9,241	15,747	11,642	21,625
EPS (NT\$)	3.01	12.72	10.38	14.30	24.37	18.02	33.47

Source: Company data, UBS estimates, Refinitiv. Note: Above EPS figure reflects reported EPS that might display different figures in other financials table that are adjusted earnings.

Unimicron Technology (3037.TW)

Income Statement (NT\$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	104,036	115,373	131,241	179,744	37.0	247,638	37.8	308,543	341,881	378,884
Gross profit	20,302	16,315	18,292	38,049	108.0	71,263	87.3	98,613	107,969	118,105
EBITDA (UBS)	23,563	21,847	25,007	46,348	85.3	84,358	82.0	97,607	108,073	118,709
Depreciation & amortisation	(14,643)	(16,730)	(18,333)	(24,138)	-31.7	(32,623)	-35.1	(22,838)	(26,832)	(30,566)
EBIT (UBS)	8,920	5,117	6,674	22,210	232.8	51,735	132.9	74,769	81,241	88,143
Associates & investment income	(124)	(21)	(50)	(10)	80.4	0	-	0	0	0
Other non-operating income	5,235	2,177	1,199	3,998	233.4	2,000	-50.0	2,500	2,500	2,500
Net interest	746	494	183	201	10.0	360	79.0	400	400	400
Exceptionals (incl goodwill)	799	(446)	821	734	-10.6	0	-	0	0	0
Pre-tax profit	15,575	7,321	8,827	27,133	207.4	54,095	99.4	77,669	84,141	91,043
Tax	(3,350)	(1,765)	(1,277)	(3,955)	-209.7	(10,819)	-173.6	(15,534)	(16,828)	(18,209)
Profit after tax	12,225	5,556	7,550	23,178	207.0	43,276	86.7	62,136	67,313	72,835
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(245)	(474)	(877)	(1,351)	-54.0	(1,351)	0.0	(1,551)	(1,751)	(1,951)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	11,980	5,082	6,673	21,827	227.1	41,925	92.1	60,584	65,562	70,884
Net earnings (UBS)	11,181	5,528	5,852	21,093	260.4	41,925	98.8	60,584	65,562	70,884
Tax rate (%)	21.5	24.1	14.5	14.6	0.8	20.0	37.2	20.0	20.0	20.0
Per Share (NT\$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	7.36	3.63	3.84	13.86	260.4	27.54	98.8	39.80	43.07	46.56
EPS (local GAAP, diluted)	7.88	3.34	4.38	14.34	227.1	27.54	92.1	39.80	43.07	46.56
EPS (UBS, basic)	7.36	3.63	3.84	13.86	260.4	27.54	98.8	39.80	43.07	46.56
DPS (net) (NT\$)	8.02	3.01	1.51	2.01	33.3	5.76	186.8	11.07	15.99	17.31
Cash EPS (UBS, diluted) ¹	17.00	14.63	15.89	29.71	87.0	48.97	64.8	54.80	60.69	66.64
Book value per share	59.50	61.21	66.00	78.39	18.8	100.17	27.8	128.89	155.97	185.22
Average shares (diluted)	1,519	1,521	1,522	1,522	0.0	1,522	0.0	1,522	1,522	1,522
Balance Sheet (NT\$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	52,948	43,972	55,049	62,641	13.8	76,278	21.8	84,573	96,376	110,990
Other current assets	33,631	42,897	50,248	60,418	20.2	78,673	30.2	95,402	105,371	116,472
Total current assets	86,579	86,869	105,298	123,058	16.9	154,951	25.9	179,975	201,747	227,462
Net tangible fixed assets	109,483	120,536	125,866	130,271	3.5	136,973	5.1	160,972	184,328	207,488
Net intangible fixed assets	0	0	0	0	-	0	-	0	0	0
Investments / other assets	19,943	23,442	24,628	24,619	0.0	24,619	0.0	24,619	24,619	24,619
Total assets	216,006	230,847	255,792	277,948	8.7	316,542	13.9	365,566	410,694	459,569
Trade payables & other ST liabilities	41,953	51,194	64,610	67,998	5.2	73,440	8.0	78,729	82,644	86,985
Short term debt	2,294	7,188	10,845	10,845	0.0	10,845	0.0	10,845	10,845	10,845
Total current liabilities	44,247	58,382	75,455	78,843	4.5	84,285	6.9	89,573	93,489	97,830
Long term debt	24,807	32,905	34,873	34,873	0.0	34,873	0.0	34,873	34,873	34,873
Other long term liabilities	50,667	39,973	38,457	38,457	0.0	38,457	0.0	38,457	38,457	38,457
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	119,721	131,260	148,785	152,173	2.3	157,615	3.6	162,903	166,819	171,160
Common s/h equity	90,661	93,265	100,569	119,337	18.7	152,490	27.8	196,225	237,437	281,972
Minority interests	5,624	6,322	6,438	6,438	0.0	6,438	0.0	6,438	6,438	6,438
Total liabilities & equity	216,006	230,847	255,792	277,948	8.7	316,542	13.9	365,566	410,694	459,569
Cash Flow (NT\$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	11,980	5,082	6,673	21,827	227.1	41,925	92.1	60,584	65,562	70,884
Depreciation & amortisation	14,643	16,730	18,333	24,138	31.7	32,623	35.1	22,838	26,832	30,566
Net change in working capital	14,997	(26)	6,065	(6,781)	-	(12,813)	-88.9	(11,441)	(6,054)	(6,760)
Other operating	(14,213)	(11,493)	(16,104)	0	-	0	-	0	0	94,141
Operating cash flow	27,407	10,294	14,967	39,184	161.8	61,735	57.6	71,982	86,340	188,830
Tangible capital expenditure	(22,755)	(25,735)	(24,307)	(28,543)	-17.4	(39,325)	-37.8	(46,837)	(50,188)	(53,726)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(29)	0	(77)	10	-	0	-	0	0	0
Other investing	1,685	(3,495)	1,367	0	-	0	-	0	0	(53,726)
Investing cash flow	(21,099)	(29,230)	(23,018)	(28,534)	-24.0	(39,325)	-37.8	(46,837)	(50,188)	(107,452)
Equity dividends paid	(12,190)	(4,575)	(2,295)	(3,059)	-33.3	(8,772)	-186.8	(16,850)	(24,349)	(26,349)
Share issues / (buybacks)	0	0	2,150	0	-	0	-	0	0	0
Other financing	0	1,491	13,266	0	-	0	-	0	0	0
Change in debt & pref shares	(6,210)	12,915	6,048	0	-	0	-	0	0	0
Financing cash flow	(18,401)	9,830	19,169	(3,059)	-	(8,772)	-186.8	(16,850)	(24,349)	(26,349)
Cash flow inc/(dec) in cash	(12,093)	(9,106)	11,118	7,591	-31.7	13,638	79.6	8,295	11,803	55,029
FX / non cash items	3,545	130	(41)	0	100.0	0	NM	0	0	(40,415)
Balance sheet inc/(dec) in cash	(8,547)	(8,976)	11,077	7,591	-31.5	13,638	79.6	8,295	11,803	14,615

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	20.6	50.8	31.1	63.1	32.9	22.7	21.0	19.4
P/E (UBS, diluted)	22.0	46.7	35.4	65.3	32.9	22.7	21.0	19.4
P/CEPS	9.5	11.6	8.6	30.5	18.5	16.5	14.9	13.6
Equity FCF (UBS) yield %	1.9	(6.0)	(4.5)	0.8	1.6	1.8	2.6	9.8
Dividend yield (net) %	4.9	1.8	1.1	0.2	0.6	1.2	1.8	1.9
P/BV	2.7	2.8	2.1	11.5	9.0	7.0	5.8	4.9
EV/revenues (core)	2.0	2.0	1.5	7.5	5.4	4.4	3.9	3.6
EV/EBITDA (UBS core)	9.0	10.7	7.6	29.3	15.9	13.8	12.4	11.3
EV/EBIT (core)	23.6	45.6	28.6	61.1	26.0	18.0	16.6	15.3
EV/OpFCF (core)	9.1	10.8	7.8	29.5	16.0	13.8	12.5	11.4
EV/op. invested capital	3.9	3.4	2.4	15.6	13.2	10.4	8.3	7.0
Enterprise value (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	245,504	258,432	207,552	1,379,039	1,379,039	1,379,039	1,379,039	1,379,039
Net debt (cash)	(27,567)	(14,863)	(6,605)	(13,127)	(23,742)	(23,742)	(23,742)	(23,742)
Buy out of minorities	6,274	5,973	6,380	6,438	6,438	6,438	6,438	6,438
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	224,210	249,542	207,327	1,372,350	1,361,735	1,361,735	1,361,735	1,361,735
Non core assets	(13,259)	(16,385)	(16,391)	(16,382)	(16,382)	(16,382)	(16,382)	(16,382)
Core enterprise value	210,951	233,157	190,936	1,355,968	1,345,353	1,345,353	1,345,353	1,345,353
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(25.9)	10.9	13.8	37.0	37.8	24.6	10.8	10.8
EBITDA (UBS)	(52.5)	(7.3)	14.5	85.3	82.0	15.7	10.7	9.8
EBIT (UBS)	(76.6)	(42.6)	30.4	NM	132.9	44.5	8.7	8.5
EPS (UBS, diluted)	(62.6)	(50.6)	5.8	NM	98.8	44.5	8.2	8.1
Net DPS	135.9	(62.5)	(49.9)	33.3	186.8	92.1	44.5	8.2
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	19.5	14.1	13.9	21.2	28.8	32.0	31.6	31.2
EBITDA margin	22.6	18.9	19.1	25.8	34.1	31.6	31.6	31.3
EBIT (UBS) margin	8.6	4.4	5.1	12.4	20.9	24.2	23.8	23.3
Net earnings (UBS) margin	10.7	4.8	4.5	11.7	16.9	19.6	19.2	18.7
ROIC (EBIT)	16.4	7.5	8.3	25.6	50.6	57.6	50.1	46.0
ROIC post tax	12.7	5.8	7.0	21.7	40.5	46.1	40.1	36.8
ROE (UBS)	12.7	6.0	6.0	19.2	30.8	34.7	30.2	27.3
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(1.1)	(0.2)	(0.4)	(0.4)	(0.4)	(0.4)	(0.5)	(0.5)
Net debt / total equity %	(26.8)	(3.9)	(8.7)	(13.5)	(19.2)	(19.2)	(20.8)	(22.6)
Net debt / (net debt + total equity) %	(36.7)	(4.1)	(9.6)	(15.5)	(23.8)	(23.7)	(26.2)	(29.3)
Net debt/EV %	(12.3)	(6.0)	(3.2)	(1.0)	(1.7)	(2.5)	(3.3)	(4.3)
Capex / depreciation %	155.4	153.8	132.6	118.2	120.5	NM	187.0	175.8
Capex / revenue %	21.9	22.3	18.5	15.9	15.9	15.2	14.7	14.2
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	0.9	1.2	2.6	6.9	4.8	3.6	2.7	2.7
Div. payout ratio (UBS) %	109.0	82.8	39.2	14.5	20.9	27.8	37.1	37.2
Revenues by division (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	104,036	115,373	131,241	179,744	247,638	308,543	341,881	378,884
Total	104,036	115,373	131,241	179,744	247,638	308,543	341,881	378,884
EBIT (UBS) by division (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	8,920	5,117	6,674	22,210	51,735	74,769	81,241	88,143
Total	8,920	5,117	6,674	22,210	51,735	74,769	81,241	88,143

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Kinsus (3189.TW)

	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Income Statement (NT\$m)										
Revenues	42,441	26,832	30,535	39,351	28.9	51,407	30.6	70,363	92,068	106,224
Gross profit	15,712	6,758	8,668	8,314	-4.1	12,997	56.3	19,757	27,555	32,322
EBITDA (UBS)	14,615	6,324	7,161	9,829	37.3	15,691	59.6	23,778	25,197	30,287
Depreciation & amortisation	(5,039)	(5,282)	(6,065)	(7,159)	-18.0	(9,231)	-28.9	(12,828)	(8,936)	(10,735)
EBIT (UBS)	9,576	1,042	1,095	2,670	143.7	6,460	142.0	10,949	16,261	19,553
Associates & investment income	129	140	5	(1)	-	0	86.7	0	0	0
Other non-operating income	76	153	215	414	92.1	321	-22.4	320	320	320
Net interest	(100)	185	136	(6)	-	(43)	NM	(20)	(20)	(20)
Exceptionals (incl goodwill)	487	58	151	10	-93.3	6	-43.9	0	0	0
Pre-tax profit	10,167	1,579	1,603	3,087	92.6	6,744	118.4	11,249	16,561	19,853
Tax	(2,158)	(256)	(272)	(370)	-35.9	(956)	-158.3	(1,687)	(2,484)	(2,978)
Profit after tax	8,009	1,324	1,331	2,717	104.1	5,788	113.0	9,562	14,077	16,875
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(957)	(1,123)	(1,282)	(1,121)	12.5	(1,227)	-9.4	(1,200)	(1,200)	(1,200)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	7,052	201	49	1,596	NM	4,562	185.8	8,362	12,877	15,675
Net earnings (UBS)	6,565	143	(102)	1,586	-	4,556	187.3	8,362	12,877	15,675
Tax rate (%)	21.2	16.2	17.0	12.0	-29.4	14.2	18.3	15.0	15.0	15.0
Per Share (NT\$)										
EPS (UBS, diluted)	14.56	0.32	(0.23)	3.50	-	10.05	187.3	18.45	28.41	34.58
EPS (local GAAP, diluted)	15.64	0.44	0.11	3.52	NM	10.06	185.8	18.45	28.41	34.58
EPS (UBS, basic)	14.56	0.32	(0.23)	3.50	-	10.05	187.3	18.45	28.41	34.58
DPS (net) (NT\$)	5.42	7.61	1.00	1.01	0.5	1.76	75.1	5.07	9.29	14.31
Cash EPS (UBS, diluted) ¹	25.74	12.00	13.15	19.29	46.7	30.41	57.7	46.75	48.12	58.26
Book value per share	76.13	70.30	70.21	72.21	2.8	80.51	11.5	93.88	112.99	133.26
Average shares (diluted)	451	452	453	453	0.0	453	0.0	453	453	453
Balance Sheet (NT\$m)										
Cash and equivalents	17,923	21,013	16,676	16,336	-2.0	18,869	15.5	21,946	18,035	14,574
Other current assets	10,177	8,356	13,001	12,602	-3.1	12,783	1.4	15,662	19,998	22,863
Total current assets	28,100	29,369	29,677	28,938	-2.5	31,653	9.4	37,608	38,033	37,437
Net tangible fixed assets	31,553	31,623	36,409	41,937	15.2	43,167	2.9	44,658	54,457	65,339
Net intangible fixed assets	0	0	0	0	-	0	-	0	0	0
Investments / other assets	12,981	17,075	13,350	9,099	-31.8	9,099	0.0	9,099	9,099	9,099
Total assets	72,633	78,067	79,435	79,973	0.7	83,918	4.9	91,364	101,589	111,874
Trade payables & other ST liabilities	14,997	12,850	14,539	17,053	17.3	17,236	1.1	18,618	20,179	21,277
Short term debt	377	1,409	2,452	3,053	24.6	3,053	0.0	3,053	3,053	3,053
Total current liabilities	15,374	14,259	16,990	20,106	18.3	20,289	0.9	21,672	23,233	24,331
Long term debt	10,770	15,280	13,779	11,197	-18.7	11,197	0.0	11,197	11,197	11,197
Other long term liabilities	7,674	9,369	8,788	7,297	-17.0	7,297	0.0	7,297	7,297	7,297
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	33,818	38,908	39,557	38,600	-2.4	38,783	0.5	40,165	41,727	42,825
Common s/h equity	34,322	31,695	31,652	32,732	3.4	36,494	11.5	42,558	51,221	60,408
Minority interests	4,494	7,464	8,226	8,641	5.1	8,641	0.0	8,641	8,641	8,641
Total liabilities & equity	72,633	78,067	79,435	79,973	0.7	83,918	4.9	91,364	101,589	111,874
Cash Flow (NT\$m)										
Net income (before pref divs)	7,052	201	49	1,596	NM	4,562	185.8	8,362	12,877	15,675
Depreciation & amortisation	5,039	5,282	6,065	7,159	18.0	9,231	28.9	12,828	8,936	10,735
Net change in working capital	2,393	(325)	(2,957)	2,913	-	1	-100.0	(1,496)	(2,775)	(1,767)
Other operating	1,477	1,098	4,547	(3,575)	-	0	-	0	0	0
Operating cash flow	15,961	6,256	7,705	8,093	5.0	13,794	70.4	19,694	19,038	24,643
Tangible capital expenditure	(16,597)	(10,124)	(10,289)	(6,007)	41.6	(10,461)	-74.2	(14,319)	(18,736)	(21,616)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	(50)	396	0	-	0	-	0	0	0
Other investing	62	(2,313)	786	(1,862)	-	0	-	0	0	0
Investing cash flow	(16,535)	(12,486)	(9,107)	(7,869)	13.6	(10,461)	-33.0	(14,319)	(18,736)	(21,616)
Equity dividends paid	(2,443)	(3,438)	(454)	(457)	-0.5	(799)	-75.1	(2,298)	(4,213)	(6,488)
Share issues / (buybacks)	165	148	137	13	-90.3	0	-	0	0	0
Other financing	3,024	2,494	(239)	(1,145)	-379.4	0	-	0	0	0
Change in debt & pref shares	1,179	6,043	1,624	(1,720)	-	0	-	0	0	0
Financing cash flow	1,926	5,247	1,067	(3,309)	-	(799)	75.8	(2,298)	(4,213)	(6,488)
Cash flow inc/(dec) in cash	1,352	(983)	(335)	(3,084)	NM	2,533	-	3,077	(3,911)	(3,462)
FX / non cash items	602	4,074	(4,002)	2,744	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	1,955	3,091	(4,337)	(340)	92.2	2,533	-	3,077	(3,911)	(3,462)

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
P/E (local GAAP, diluted)	9.6	NM	NM	NM	55.1	30.0	19.5	16.0
P/E (UBS, diluted)	10.3	NM	NM	NM	55.1	30.0	19.5	16.0
P/CEPS	5.8	9.0	7.7	28.7	18.2	11.9	11.5	9.5
Equity FCF (UBS) yield %	(0.9)	(7.9)	(5.7)	0.8	1.3	2.2	0.1	1.2
Dividend yield (net) %	3.6	7.0	1.0	0.2	0.3	0.9	1.7	2.6
P/BV	2.0	1.5	1.4	7.7	6.9	5.9	4.9	4.2
EV/revenues (core)	1.5	1.8	1.7	6.5	5.0	3.6	2.7	2.4
EV/EBITDA (UBS core)	4.5	7.7	7.1	26.1	16.2	10.6	10.0	8.5
EV/EBIT (core)	6.8	46.7	46.5	96.2	39.5	23.0	15.5	13.1
EV/OpFCF (core)	4.5	7.9	7.2	26.4	16.4	10.7	10.1	8.5
EV/op. invested capital	2.2	1.5	1.4	6.5	6.4	6.0	5.1	4.1
Enterprise value (NT\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Market cap.	67,768	48,682	45,596	249,765	249,765	249,765	249,765	249,765
Net debt (cash)	(6,129)	(5,550)	(2,385)	(1,265)	(3,352)	(6,157)	(5,740)	(2,054)
Buy out of minorities	4,207	5,979	7,845	8,434	8,641	8,641	8,641	8,641
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	65,847	49,111	51,056	256,934	255,055	252,250	252,667	256,353
Non core assets	(432)	(489)	(100)	(138)	(138)	(138)	(138)	(138)
Core enterprise value	65,415	48,622	50,956	256,795	254,917	252,112	252,528	256,215
Growth (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Revenue	19.0	(36.8)	13.8	28.9	30.6	36.9	30.8	15.4
EBITDA (UBS)	56.6	(56.7)	13.2	37.3	59.6	51.5	6.0	20.2
EBIT (UBS)	91.4	(89.1)	5.1	143.7	142.0	69.5	48.5	20.2
EPS (UBS, diluted)	62.7	(97.8)	-	-	187.3	83.5	54.0	21.7
Net DPS	NM	40.4	(86.8)	0.5	75.1	187.5	83.3	54.0
Margins & Profitability (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Gross profit margin	37.0	25.2	28.4	21.1	25.3	28.1	29.9	30.4
EBITDA margin	34.4	23.6	23.5	25.0	30.5	33.8	27.4	28.5
EBIT (UBS) margin	22.6	3.9	3.6	6.8	12.6	15.6	17.7	18.4
Net earnings (UBS) margin	15.5	0.5	NM	4.0	8.9	11.9	14.0	14.8
ROIC (EBIT)	32.6	3.2	3.0	6.8	16.2	26.1	32.7	31.4
ROIC post tax	25.2	2.6	2.4	6.0	13.9	22.2	27.8	26.7
ROE (UBS)	20.7	0.4	(0.3)	4.9	13.2	21.2	27.5	28.1
Capital structure & Coverage (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Net debt / EBITDA	(0.5)	(0.7)	(0.1)	(0.2)	(0.3)	(0.3)	(0.2)	0.0
Net debt / total equity %	(17.5)	(11.0)	(1.1)	(5.0)	(10.2)	(15.0)	(6.3)	(0.5)
Net debt / (net debt + total equity) %	(21.1)	(12.4)	(1.1)	(5.3)	(11.4)	(17.7)	(6.7)	(0.5)
Net debt/EV %	(9.3)	(11.3)	(4.7)	(0.5)	(1.3)	(2.4)	(2.3)	(0.8)
Capex / depreciation %	NM	191.7	169.6	83.9	113.3	111.6	NM	NM
Capex / revenue %	NM	NM	NM	15.3	20.4	20.4	20.4	20.4
EBIT / net interest	NM	-	-	NM	NM	NM	NM	NM
Dividend cover (UBS)	2.7	0.0	-	3.5	5.7	3.6	3.1	2.4
Div. payout ratio (UBS) %	37.2	NM	-	28.8	17.5	27.5	32.7	41.4
Revenues by division (NT\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	42,441	26,832	30,535	39,351	51,407	70,363	92,068	106,224
Total	42,441	26,832	30,535	39,351	51,407	70,363	92,068	106,224
EBIT (UBS) by division (NT\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	9,576	1,042	1,095	2,670	6,460	10,949	16,261	19,553
Total	9,576	1,042	1,095	2,670	6,460	10,949	16,261	19,553

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Nan Ya Printed Circuit Board (8046.TW)

Income Statement (NT\$m)	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Revenues	64,647	42,253	32,283	40,173	24.4	56,131	39.7	80,665	101,958	113,609
Gross profit	25,868	8,177	358	3,647	NM	11,267	208.9	21,148	29,921	34,212
EBITDA (UBS)	27,919	12,226	5,193	8,876	70.9	14,613	64.6	23,583	31,828	35,975
Depreciation & amortisation	(4,344)	(5,896)	(6,460)	(6,894)	-6.7	(5,337)	22.6	(5,081)	(5,048)	(5,377)
EBIT (UBS)	23,575	6,330	(1,267)	1,982	-	9,276	367.9	18,502	26,780	30,598
Associates & investment income	62	16	27	18	-31.8	13	-30.2	0	0	0
Other non-operating income	1,719	492	1,170	215	-81.6	649	202.0	680	750	750
Net interest	114	308	238	144	-39.2	139	-3.9	140	150	150
Exceptionals (incl goodwill)	(108)	(39)	(4)	(15)	-243.5	0	-	0	0	0
Pre-tax profit	25,362	7,107	163	2,346	NM	10,077	329.6	19,322	27,680	31,498
Tax	(5,946)	(1,290)	41	(399)	-	(1,858)	-366.0	(3,575)	(5,121)	(5,827)
Profit after tax	19,416	5,817	204	1,947	NM	8,219	322.2	15,747	22,559	25,671
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	19,416	5,817	204	1,947	NM	8,219	322.2	15,747	22,559	25,671
Net earnings (UBS)	19,523	5,856	208	1,961	NM	8,219	319.0	15,747	22,559	25,671
Tax rate (%)	23.4	18.2	0.0	17.0	-	18.4	8.5	18.5	18.5	18.5
Per Share (NT\$)	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
EPS (UBS, diluted)	30.21	9.06	0.32	3.04	NM	12.72	319.0	24.37	34.91	39.73
EPS (local GAAP, diluted)	30.05	9.00	0.32	3.01	NM	12.72	322.2	24.37	34.91	39.73
EPS (UBS, basic)	30.21	9.06	0.32	3.04	NM	12.72	319.0	24.37	34.91	39.73
DPS (net) (NT\$)	10.00	18.00	5.50	1.00	-81.8	2.00	100.0	6.36	12.19	17.46
Cash EPS (UBS, diluted) ¹	36.94	18.19	10.32	13.70	32.8	20.98	53.1	32.23	42.72	48.05
Book value per share	83.14	74.14	70.34	71.38	1.5	82.10	15.0	100.11	122.84	145.11
Average shares (diluted)	646	646	646	646	0.0	646	0.0	646	646	646
Balance Sheet (NT\$m)	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Cash and equivalents	20,044	12,330	8,481	8,590	1.3	17,499	103.7	24,231	31,496	42,347
Other current assets	21,266	12,144	12,194	15,033	23.3	18,347	22.0	24,458	32,218	34,165
Total current assets	41,310	24,474	20,675	23,623	14.3	35,846	51.7	48,689	63,714	76,512
Net tangible fixed assets	37,267	43,107	39,991	35,373	-11.5	33,317	-5.8	32,950	33,860	35,122
Net intangible fixed assets	0	0	0	0	-	0	-	0	0	0
Investments / other assets	3,173	2,857	2,273	2,211	-2.7	2,224	0.6	2,224	2,224	2,224
Total assets	81,750	70,437	62,938	61,207	-2.8	71,387	16.6	83,864	99,799	113,859
Trade payables & other ST liabilities	13,689	9,100	6,664	7,189	7.9	10,442	45.3	11,281	12,530	12,199
Short term debt	0	0	0	0	-	0	-	0	0	0
Total current liabilities	13,689	9,100	6,664	7,189	7.9	10,442	45.3	11,281	12,530	12,199
Long term debt	0	0	0	0	-	0	-	0	0	0
Other long term liabilities	14,339	13,429	10,824	7,896	-27.1	7,896	0.0	7,896	7,896	7,896
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	28,028	22,530	17,488	15,085	-13.7	18,338	21.6	19,176	20,426	20,095
Common s/h equity	53,723	47,908	45,450	46,123	1.5	53,050	15.0	64,687	79,373	93,764
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	81,750	70,437	62,938	61,207	-2.8	71,387	16.6	83,864	99,799	113,859
Cash Flow (NT\$m)	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Net income (before pref divs)	19,416	5,817	204	1,947	NM	8,219	322.2	15,747	22,559	25,671
Depreciation & amortisation	4,344	5,896	6,460	6,894	6.7	5,337	-22.6	5,081	5,048	5,377
Net change in working capital	102	4,534	(2,486)	(2,314)	6.9	(60)	97.4	(5,273)	(6,510)	(2,279)
Other operating	8,446	267	(2,018)	(3,499)	-73.4	0	-	0	0	0
Operating cash flow	32,307	16,513	2,160	3,027	40.2	13,495	345.8	15,556	21,097	28,769
Tangible capital expenditure	(16,896)	(11,749)	(2,296)	(2,348)	-2.3	(3,280)	-39.7	(4,714)	(5,958)	(6,639)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	27	(502)	(306)	625	-	(13)	-	0	0	0
Investing cash flow	(16,869)	(12,251)	(2,602)	(1,723)	33.8	(3,293)	-91.2	(4,714)	(5,958)	(6,639)
Equity dividends paid	(6,462)	(11,631)	(3,554)	(646)	81.8	(1,292)	-100.0	(4,110)	(7,874)	(11,280)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(195)	(406)	(595)	384	-	0	-	0	0	0
Change in debt & pref shares	(1,981)	0	0	0	-	0	-	0	0	0
Financing cash flow	(8,638)	(12,037)	(4,149)	(262)	93.7	(1,292)	-393.8	(4,110)	(7,874)	(11,280)
Cash flow inc/(dec) in cash	6,801	(7,774)	(4,591)	1,043	-	8,910	NM	6,732	7,265	10,850
FX / non cash items	49	60	742	(934)	-	0	100.0	0	0	0
Balance sheet inc/(dec) in cash	6,850	(7,714)	(3,849)	109	-	8,910	NM	6,732	7,265	10,850

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Valuation (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
P/E (local GAAP, diluted)	11.4	28.5	NM	NM	68.6	35.8	25.0	21.9
P/E (UBS, diluted)	11.3	28.3	NM	NM	68.6	35.8	25.0	21.9
P/CEPS	9.2	14.1	16.6	63.6	41.6	27.1	20.4	18.1
Equity FCF (UBS) yield %	7.0	2.9	(0.1)	0.1	1.8	1.9	2.7	3.9
Dividend yield (net) %	2.9	7.0	3.2	0.1	0.2	0.7	1.4	2.0
P/BV	4.1	3.5	2.4	12.2	10.6	8.7	7.1	6.0
EV/revenues (core)	3.2	3.5	3.1	NM	9.8	6.7	5.2	4.6
EV/EBITDA (UBS core)	7.3	12.2	19.2	62.5	37.6	23.0	16.8	14.6
EV/EBIT (core)	8.7	23.6	NM	>100	59.3	29.3	20.0	17.2
EV/OpFCF (core)	7.3	12.3	19.1	62.1	37.5	22.9	16.7	14.6
EV/op. invested capital	6.6	4.4	2.8	15.1	15.3	14.5	12.3	10.7
Enterprise value (NT\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Market cap.	220,399	165,912	110,455	563,460	563,460	563,460	563,460	563,460
Net debt (cash)	(15,898)	(16,187)	(10,405)	(8,535)	(13,044)	(20,865)	(27,864)	(36,921)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	204,501	149,725	100,049	554,925	550,416	542,595	535,597	526,539
Non core assets	(514)	(487)	(460)	(500)	(513)	(513)	(513)	(513)
Core enterprise value	203,987	149,238	99,590	554,425	549,903	542,082	535,084	526,026
Growth (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Revenue	23.8	(34.6)	(23.6)	24.4	39.7	43.7	26.4	11.4
EBITDA (UBS)	69.2	(56.2)	(57.5)	70.9	64.6	61.4	35.0	13.0
EBIT (UBS)	83.2	(73.1)	-	-	NM	99.5	44.7	14.3
EPS (UBS, diluted)	83.5	(70.0)	(96.4)	NM	NM	91.6	43.3	13.8
Net DPS	194.1	80.0	(69.4)	(81.8)	100.0	NM	91.6	43.3
Margins & Profitability (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Gross profit margin	40.0	19.4	1.1	9.1	20.1	26.2	29.3	30.1
EBITDA margin	43.2	28.9	16.1	22.1	26.0	29.2	31.2	31.7
EBIT (UBS) margin	36.5	15.0	(3.9)	4.9	16.5	22.9	26.3	26.9
Net earnings (UBS) margin	30.2	13.9	0.6	4.9	14.6	19.5	22.1	22.6
ROIC (EBIT)	NM	18.5	NM	5.4	25.7	49.4	61.3	62.3
ROIC post tax	58.8	15.2	NM	4.5	21.0	40.2	50.0	50.8
ROE (UBS)	41.4	11.5	0.4	4.3	16.6	26.7	31.3	29.7
Capital structure & Coverage (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Net debt / EBITDA	(0.7)	(1.0)	(1.6)	(1.0)	(1.2)	(1.0)	(1.0)	(1.2)
Net debt / total equity %	(37.3)	(25.7)	(18.7)	(18.6)	(33.0)	(37.5)	(39.7)	(45.2)
Net debt / (net debt + total equity) %	(59.5)	(34.7)	(22.9)	(22.9)	(49.2)	(59.9)	(65.8)	(82.4)
Net debt/EV %	(7.8)	(10.8)	(10.4)	(1.5)	(2.4)	(3.8)	(5.2)	(7.0)
Capex / depreciation %	NM	199.3	35.5	34.1	61.5	92.8	118.0	123.5
Capex / revenue %	26.1	27.8	7.1	5.8	5.8	5.8	5.8	5.8
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	3.0	0.5	0.1	3.0	6.4	3.8	2.9	2.3
Div. payout ratio (UBS) %	33.1	198.6	NM	32.9	15.7	26.1	34.9	43.9
Revenues by division (NT\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	64,647	42,253	32,283	40,173	56,131	80,665	101,958	113,609
Total	64,647	42,253	32,283	40,173	56,131	80,665	101,958	113,609
EBIT (UBS) by division (NT\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	23,575	6,330	(1,267)	1,982	9,276	18,502	26,780	30,598
Total	23,575	6,330	(1,267)	1,982	9,276	18,502	26,780	30,598

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Valuation Method and Risk Statement

Investing in the technology sector involves a high degree of risk. Rapid technological changes, increasing competition and exposure to macroeconomic cycles are among the many risks faced by investors in tech stocks. Moreover, it is extremely difficult to project the financial results of tech companies since their operating models are highly volatile and unpredictable. Finally, valuing tech stocks can prove challenging as neither traditional nor non-traditional valuation measures provide much insight into how these stocks trade.

Our PT for Unimicron is based on P/E multiple methodology.

Downside risks include weaker AI server/ABF substrate demand, utilization and pricing pressure from capacity expansion, limited margin upside from long-term contracts, input cost volatility (ABF, T-glass, CCL), execution risks in overseas expansion, rising competition, and packaging technology transitions.

Our PT for Kinsus is based on P/E multiple methodology.

Downside risks include lower-than-expected share gains in AI server projects, lower-than-expected global PC/server demand, oversupply from capacity expansion, raw material cost increases, intensified competition and a lack of spec upgrades and content increases.

Our price target for Nan Ya Printed Circuit Board is based on P/E multiple methodology.

Upside risks include faster-than-expected ramp-up of networking/switches, stronger-than-expected pricing increase driving margins back to 2021-22 profitability level, better-than-expected consumer demand, and continued tightness in BT substrates.

Downside risks include lower-than-expected ramp-up of networking/switch projects, lower-than-expected global PC/server demand, oversupply from capacity expansions, raw material cost increases, intensified competition, and a lack of spec upgrades and content increase.

As for industry risks, substrate applications are dominated by PCs, but servers, artificial intelligence and advanced computing are driving demand growth. We believe key risks to the industry include slower-than-expected growth in servers, networking, and high performance computing, ASP pressure, margin erosion, and lack of spec upgrades. We believe the flexible circuit board and high-density interconnect board segments are more vulnerable to fluctuations in the consumer product cycle and have lower visibility.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Unimicron Technology

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	5
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	5
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Nan Ya Printed Circuit Board

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
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7. What's driving the difference?	

Question	Response
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

Kinsus

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	5
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	5
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	54%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

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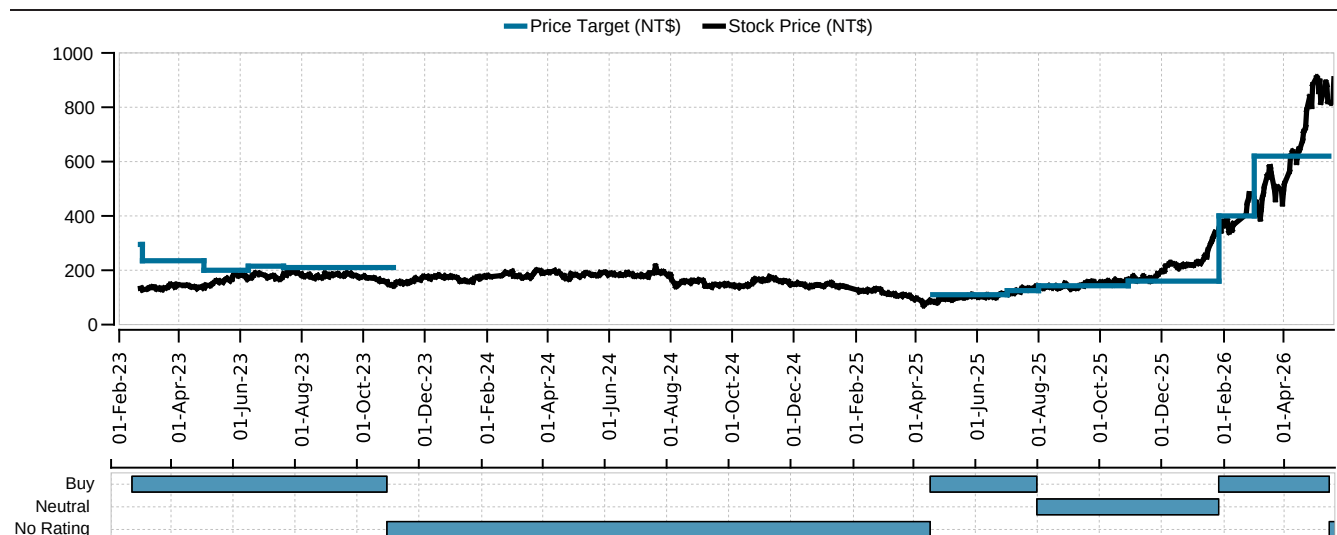
Company Name	Reuters	12-month rating	Price	Price date
Kinsus Interconnect Technology	3189.TW	Suspended	NT\$554.00	21 May 2026
Nan Ya Printed Circuit Board	8046.TW	Neutral	NT\$872.00	21 May 2026
Unimicron Technology ²⁸	3037.TW	Suspended	NT\$905.00	21 May 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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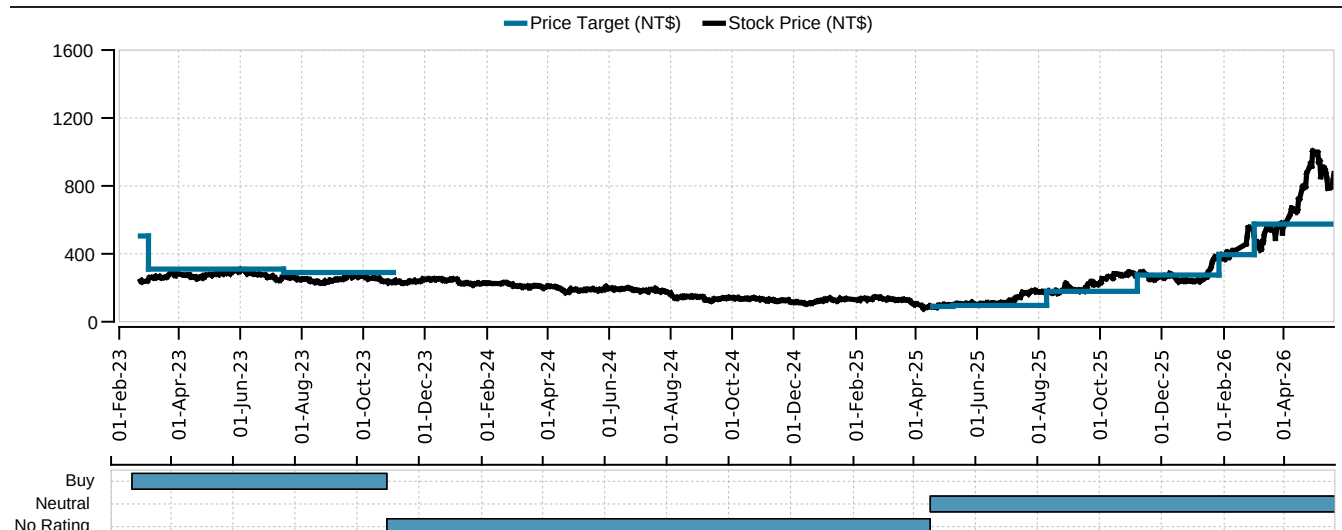
Unimicron Technology (NT\$)



Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2023-02-21	137.50	295.00	Buy
2023-02-23	134.00	235.00	Buy
2023-04-25	135.00	200.00	Buy
2023-06-08	167.00	215.00	Buy
2023-07-13	175.50	210.00	Buy
2023-10-30	145.50	-	No Rating
2025-04-17	84.70	110.00	Buy
2025-06-30	114.00	125.00	Buy
2025-07-31	137.50	143.00	Neutral
2025-10-28	162.50	160.00	Neutral
2026-01-26	333.00	400.00	Buy
2026-03-02	481.00	620.00	Buy
2026-05-15	821.00	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 21-May-2026. All prices as of local market close. Ratings as of date shown.

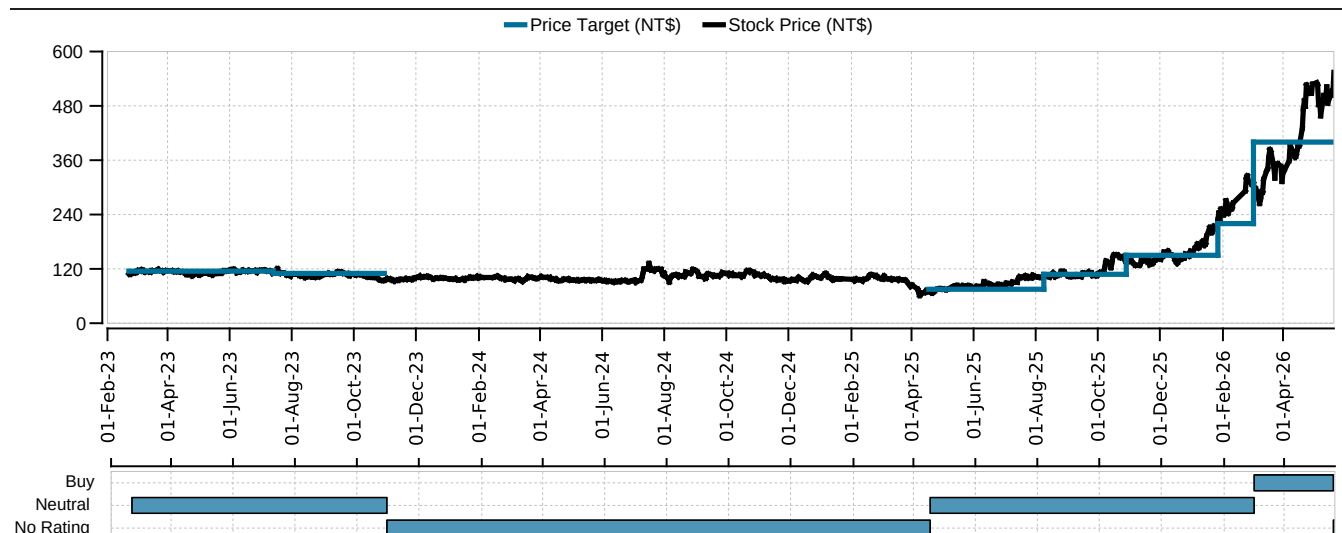
Nan Ya Printed Circuit Board (NT\$)



Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2023-02-21	247.00	505.00	Buy
2023-03-01	240.50	310.00	Buy
2023-07-13	264.50	290.00	Buy
2023-10-30	232.00	-	No Rating
2025-04-17	88.80	90.00	Neutral
2025-05-07	98.10	96.00	Neutral
2025-08-08	168.50	179.00	Neutral
2025-11-06	273.00	275.00	Neutral
2026-01-26	370.00	395.00	Neutral
2026-03-02	541.00	575.00	Neutral

Source: UBS Global Research; LSEG Eikon as of 21-May-2026. All prices as of local market close. Ratings as of date shown.

Kinsus Interconnect Technology (NT\$)



Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2023-02-21	111.00	115.00	Neutral
2023-07-13	110.00	110.00	Neutral
2023-10-30	94.20	-	No Rating
2025-04-17	70.20	75.00	Neutral
2025-08-08	101.50	108.00	Neutral
2025-10-28	137.50	150.00	Neutral

Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2026-01-26	208.00	220.00	Neutral
2026-03-02	304.50	400.00	Buy
2026-05-19	513.00	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 21-May-2026. All prices as of local market close. Ratings as of date shown.

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